[MODIFIED] Allianz Global Corporate & Specialty SE

CONTRAT d'Assurance

Policyholder:

EUROAPI SA
15, rue Traversière
75012 Paris

Policy Number : FRP00170824M

Paris La Défense, March 03rd 2024

All Risks Property Damage and Business Interruption Insurance

Policy n°FRP001708242M
Opérations GBO

Policy holder

EUROAPI SA
15, rue Traversière
75012 Paris

Broker

SIACI SAINT HONORE
39, rue Mstislav Rostroprovitch
75815 PARIS CEDEX 17

Annual Premium

Period duration	from 01/01/2024 to 12/31/2024
Premium excluding Nat Cat and GAREAT	1 167 072,00 EUR
Premium Nat Cat	52 636,00 EUR
Premium GAREAT	85 094,00 EUR
Policy fees	50,00 EUR
Tax terrorism	5,90 EUR
Tax	154 458,00 EUR
Net annual pemium France and LPS	1 459 315,90 EUR

1. Policy period

2 years from 00.00.00 January 01st 2024 until 23.59.59 December 31st, 2025.

2. Period duration - Signatures

Period duration .... **2 years with tacit annual renewal**

(Termination notice period 3 months)

Paris La Défense, March 03rd 2024

Authorised representative of EUROAPI SA,

DocuSigned by:
Julien GIACOMELLI
597CCD7DBD0344F...

Authorised representative of Insurer,

Allianz
Allianz Global Corporate & Specialty SE
Succursale en France
1 Cours Michelet
CS 30051
92076 Paris La Défense
487 424 608 RCS Nanterre

Signed by: Vissutti Laetitia
EMail: laetitia.vissutti@allianz.com
Signing time: 07-03-2024 10:41:32
IP address: 165.225.20.86

ALL RISKS PROPERTY DAMAGE AND BUSINESS INTERRUPTION INSURANCE

POLICYHOLDER	**EUROAPI SA**
REGISTERED OFFICE	**15 rue Traversière** **75 012 PARIS**
POLICY INCEPTION DATE	**January 1st, 2024**
POLICY EXPIRY DATE	**January 1st**
POLICY TERM	**Two years from January 1st 2024** **to December 31th 2025** **With tacit annual renewal**
TERMINATION NOTICE PERIOD	**3 Months**
APPLICABLE LAW OF THE POLICY	**French**
POLICY CURRENCY	**Euro**
PREMIUM PAYMENT DATE	**Annual**

1. FOREWORD

The Excess Layer policy, is in excess of the underlying worldwide **Property Damage and consecutive Business Interruption** underwritten by **EUROAPI SA with AXA XL under the number FR00036300PR.**

It follows all the general and specific provisions of the above-mentioned primary layer policy. In this respect, the termination of the primary layer policy shall result in the automatic termination of the excess layer policy.

This **Global Programme** comprises the present Master **Policy** and the local policies, which are designed to provide the insured locally the covers closest to this text, within the limits of the policy territory.

It is agreed that in the event of any difference of interpretation between the provisions of this **Master Policy** and those of the local policies issued for the implementation of the **Master Policy**, the provisions of the **Master Policy** shall prevail over those of the local policies, except in the event of incompatibility with the laws of the country where the local policy is issued.

The **Master policy** is governed by the provisions of the attached general terms and conditions and of the special Terms and Conditions, which prevail over the general terms and conditions and the non-mandatory provisions of the French Insurance Code, whenever they are more favourable to the **Insured Party**.

PROVISIONS OF THIS **MASTER POLICY** THAT REFER TO FRENCH NOTIONS, PARTICULARLY ECONOMIC, LEGAL OR INSURANCE ASPECTS WILL BE TAKEN FOR THEIR EQUIVALENT ABROAD FOR THEIR APPLICATION TO COMPANIES UNDER FOREIGN LAW AND/OR TO LOCAL POLICIES

Between the Underwritter: **EUROAPI SA**

Headquarter: 15 rue Traversière
75 012 PARIS

Acting both on its own behalf and on behalf of whom it may concern in general, and in particular on behalf of any company insured by this policy and hereinafter referred to as the Insured.

And: ALIANZ GLOBAL CORPORATE & SPECIALTY SE
1 Cours Michelet
CS 30051
92 076 PARIS LA DEFENSE

acting both on its behalf and on behalf of its subsidiaries, offices and/or local correspondents, hereinafter referred to as the Insurer.

The following contractual provisions are agreed upon:

2. GENERAL INFORMATION

2.1. Formation and termination of the policy

Each co-insurer agrees to the terms of this clause.

2.1.1. Policy term

This policy is taken out for a period of 2 years from January 1st 2024 to December 31th 2025 at 12 midnight,
On expiry of the insurance period, the policy will thereafter be automatically renewed year on year.
Both the Policyholder and the Insurer have the option to terminate the policy at the end of each of the insurance period by giving advance notice of at least a three-month before the renewal date.
If the policy is terminated by registered letter, the period starts from the date affixed on the postmark.

2.1.2. Provisions relating to premiums

As the premium is fixed when the policy is taken out on an annual basis, the calculation for the second year of the first two-year period of insurance shall be made by applying the current rates to the overall value of the property items and values in force on the intermediate renewal date that the Policyholder agrees to declare.
The rate for the Natural Disasters, Acts of Terrorism and Attacks covers in France will be that in force at the intermediate renewal date.

2.1.3. Additional possibilities for termination by the insurer

The cases of cancellation provided for elsewhere in the Special Terms are completed or modified as follows. The Insurer shall have the right to terminate the contract during the period of validity of the contract if any of the circumstances listed below occur.
Insurers, reinsurers and underwriters have the option of renegotiating the terms and conditions of the excess layer policy's limits/sub-limits and deductibles in the event of changes to the primary policy FR00036300PR.

- **Circumstances giving rise to an additional right of cancellation by the Insurer**

1. The Claims/Premiums ratio (C/P) from January 1st 2024 to December 31th 2024 exceeds the 60% threshold

   The C/P ratio is drawn up on the following bases:
   C = total reported claims, including Natural Disasters, excluding GAREAT (insurance against terrorist attacks) and local insurance pools, relating to the insurance period under consideration (payments + assessments + costs - recoveries).

Assessments are drawn up by the Insurer after consulting with the adjusters and DIOT-SIACI.
P = total premiums excluding taxes deposited, including Natural Disasters, excluding GAREAT and local insurance pools, relating to the insurance period under consideration.
Any other clause relating to the termination of the policy by the Insurer for a claim is revoked.

2. Change of control of the Policyholder within the meaning of Article L 233-3 of the Commercial Code
3. Merger of the Policyholder with another entity
4. Refusal by the Policyholder to accept at the intermediate renewal date and subsequently at the annual date :

   - adjustments to the policy made necessary by a change in national or international obligations, or in national or international insurance or reinsurance pools
   - the limitations imposed on the Insurer by its reinsurers, the Insurer being required to provide proof of such limitations.
5. Material change in risk.
6. An acquisition, in a non-core business or in a business that has risk standards inferior to the rest of the program.
7. An acquisition that increases the insured's exposure by more than 5% of the insured values in critical natural catastrophe regions (AXAXL definitions).

- **Obligation to notify the Insurer**

  In the cases mentioned in § 2 and 3 above, the Policyholder must notify the Insurer of these changes within one month of their publication.
  In the absence of information from the Policyholder, this notification is postponed to the date on which the Insurer became aware of the event.

- **Termination procedures**

  Termination will only take effect with three months' notice. If this period exceeds the annual due date, the insured undertakes to pay a pro rata premium under the conditions in force for the number of days that exceed the due date.

2.1.4. Additional possibilities of cancellation by the Policyholder

The termination options otherwise provided for in the Interlayer are supplemented or modified as follows. The Policyholder will have the right to terminate the contract during the period of validity of the contract if any of the following circumstances occur

- **Additional possibilities for termination by the Policyholder**

1. Change of control of the Insurer (or of a co-insurer, if co-insurance exists in the policy) pursuant to article L 233-3 of the French Commercial Code.
2. Merger of the Insurer (or of a co-insurer, if co-insurance exists in the policy) with another entity accompanied by a portfolio transfer, recorded on the date of publication in the Official Journal of the approval decision made by the competent authorities.
3. The financial rating of the "Lead" Insurer or of a "Co-insurer" Insurer from the STANDARD & POOR'S ratings agency (or another top-rank ratings agency if the Insurer is not rated by STANDARD & POOR'S) goes below "A-".
In this case, the Policyholder reserve the right to terminate or reduce said Insurer's share. If the termination relates to the "Lead" Insurer's share, it will take effect three months after the date on which the Policyholder was advised of the lower rating. If the termination relates to the "Co-insurer" Insurer's share, it will take effect two months after the date on which the Policyholder was advised of the lower rating.
4. The Policyholder's failure to accept, at the intermediate renewal date and thereafter at the annual renewal date:
- changes to the policy required following an amendment to the national or international obligations, or insurance pools or national or international reinsurance.
- limitations imposed on the Insurer by its reinsurers, with the Insurer being required to provide proof of it.

- **Obligation to notify the Policyholder**

The Insurer must notify the Policyholder of these changes in the month after they are published.
If the Insurer (or Leading Insurer) fails to notify the Policyholder, this notification is deferred to the date on which the Policyholder becomes aware of the event.

- **Procedure for termination**

Termination will take effect two-months after the date when the Insurer (or Lead Insurer, if co-insurance exists in the policy) is notified. The Insurer will then repay the proportion of the premium already paid and relating to the insurance period after the termination.

The Policyholder is expected to update its values by January 1st , 2024 based on prior appraisals taking into account inflation.

2.2. Application of the programme

This programme operates as follows:

- Either directly from this policy issued in France called "**Master Policy**",
- or through **integrated local policies** issued with representatives of the Master Policy's lead insurer or with third-party companies selected in agreement with this lead insurer, fully or partly co-reinsured by the Master Policy's Insurers or not co-reinsured, with a DIC/DIL/DI cover granted by the Master Policy up to the amount of the sums insured and/or limits of the Master Policy;

- or through **non-integrated local policies/Stand-alone policies** i.e. issued independently with third-party Insurers, with a DIC/DIL/DI cover provided by the Master Policy up to the specific sublimit as stated in the schedule.

2.2.1. Agreements

The Insurers of this Master policy agree for their respective shares to reinsure the policies issued abroad by the Leading Insurer or its representative as part of the said Master policy, with it being specified that their reinsurance obligations are understood to be for the duration of this plan.

Any insurance claim filed with the local insurer is deemed to have also been filed with the Insurer of this Master Policy and vice versa.

2.2.2. Difference in Conditions, Difference in Limits, Difference of Interpretation (DIC/DIL/DI)

The policy covers Differences in Conditions, Differences in Limits, Differences of Interpretation as follows:

- ✓ **Integrated local policies:** the Master policy covers DIC/DIL/DI subject to the policy limits / up to limits stated under schedule in the master policy.
- ✓ **Stand-alone Policies:**

  The Insurer covers DIC/DIL/DI up to the limit specifically provided in Chapter **9**.

It is specified that this cover is granted **for 100%** of the amount of the compensable claim, including for local policies partially co-reinsured by this current policy,

2.2.3. Specific exclusions to the DIC/DIL/DI cover

It is specified that no indemnity will be paid under this policy in addition of indemnity due under local stand-alone polices only:

- ✓ **After the local policies have been suspended or cancelled for-non-payment of the local premium with the agreement of the Policyholder in France.** This exclusion does not apply to Integrated Local Policies for which the Policyholder, in this case, will pay the unpaid local premium in France in Euros.
- ✓ **For the cases set out in the exclusions of this Master Policy.**
- ✓ **For coverage that is refused, limited, terminated or not taken out voluntarily by the Insurance Division or Insurance Department of the Insured. It being understood that the local cover still applies when the refusal, restriction or limitation comes formally from the Insurer.**
- ✓ **For the total or partial buyback of the deductibles negotiated locally or made compulsory by the law or local regulations.**
- ✓ **As part of damage not covered under the local policy due to a breach of local insurance conditions.**

2.2.4. Insurance contract law – Jurisdiction

This policy is governed by French law. This policy is governed by the French Insurance code [*Code des Assurances*].

In the event of a dispute as to the application of the Master Policy and/or local policies, the Parties agree to try to resolve it by all amicable means. If no agreement can be reached, the French courts shall have sole jurisdiction to hear the case.

2.2.5. Limits of liability– deductibles

The applicable deductibles depend on the type of supplement provided by these covers.

If the supplement granted is in DIL, no other deductible will apply than the deductible applicable under the local policy before the indemnity payment/settlement.

If the supplement granted is in DIC/DI, a deductible calculated by the difference between the local applicable deductible and the deductible applicable under the MASTER policy, will apply.

In any case cumulative deductibles applied in respect of a single insured event compensated under local policies and under this Master Policy shall exceed the deductibles of this policy.

2.2.6. Reference exchange rate

For all the countries, the currency of the values and premiums is that of the insurance policies.

In case of a claim, the deductible and limits are converted into the local currency at the exchange rate for the day when the insured event occurred or at the date of payment, per the Insured Party's wishes.

2.2.7. Countries managed by the policy

FOS ("Freedom of Services") area countries directly covered by the Master Policy	Germany
	Hungary
	Italy
	Slovakia

2.3. Scope of coverage

This policy covers against all risks accidental direct physical damage to the insured property, subject solely to the application of the exclusions set out under Chapter **6** as well as the following damage, losses and liabilities resulting therefrom:

- ✓ **Additional expenses and losses** resulting from said non-excluded physical damage (Paragraphs **3.3** and **3.4)**.
- ✓ **The financial** consequences of the Insured third party liability pursuant to said non-excluded physical damage (Paragraph **3.5**).
- ✓ **The financial losses resulting from business interruption** due to non-excluded physical damage (Chapter **4**).
- ✓ **Professional fees** (Chapter **5**)

For the purposes of the provisions of the aforementioned paragraphs, it is hereby stated that damages, when covered by a guarantee from the suppliers, builders or assemblers under a contract or under the law, will be considered to be physical damage insurance. Consequently, all financial losses, costs and financial consequences arising from such physical damage are covered under this policy.

Furthermore, it is specified that the financial losses, costs and financial consequences cover is also acquired in the event that the "damage" insurance is granted by another policy.

2.4. Territorial Limits

Worldwide, with the exception of the following countries:

List of excluded countries: BELARUS, BOSNIA & HERZEGOVINA, CUBA, EL SALVADOR, IRAN, MYANMARNORTH KOREA, SYRIA UKRAINE (incl. Crimea and Sevastopol, Donetsk and Luhansk), VENEZUELA, AFGHANISTAN, ANGOLA, BURUNDI, BURMA, ERYTHREE, ETHIOPIE, HAÏTI, HONDURAS, IRAK, LIBERIA, LIBYE, MADAGASCAR, NAMIBIE, NIGERIA, NICARAGUA, PAKISTAN, PALESTINE, REPUBLIQUE DEMOCRATIQUE DU CONGO, RUSSIA, SIERRA LEONE, SOMALIE, SOUDAN, SUD SOUDAN, TADJIKISTAN, TCHETCHENIE, YEMEN, ZAMBIE, ZIMBABWE.

NO (RE)INSURER SHALL BE DEEMED TO PROVIDE COVER AND NO (RE)INSURER SHALL BE LIABLE TO PAY ANY CLAIM OR PROVIDE ANY BENEFIT HEREUNDER TO THE EXTENT THAT THE PROVISION OF SUCH COVER, PAYMENT OF SUCH CLAIM OR PROVISION OF SUCH BENEFIT WOULD EXPOSE THAT (RE)INSURER TO ANY SANCTION, PROHIBITION OR RESTRICTION UNDER UNITED NATIONS RESOLUTIONS OR THE TRADE OR ECONOMIC SANCTIONS, LAWS OR REGULATIONS OF THE EUROPEAN UNION, UNITED KINGDOM OR UNITED STATES OF AMERICA.

2.5. Program Limits Clause

The total amount payable under the applicable limits and sub-limits of this Master Policy and the corresponding limits and sub-limits of any local policies forming part of this Global Program in respect of each and every loss and/ or in the aggregate shall not exceed the applicable limits and sub-limits of the Master Policy. It is agreed that if the total amount paid under the Master Policy and any local policies as set out in the preceding sentence exceeds the applicable limits and sub-limits of the Master Policy, the Named Insured on the Master Policy shall indemnify the Master Insurer within 30 days of a written request to pay any such excess amount.

Financial interest :

Financial Interest Coverage

The Insurer shall provide coverage to the First Named Insured for its financial interest in any entity which would otherwise be covered under this Policy which is located in a jurisdiction where:

i (i) applicable law or regulation do not, to the best of the Insurer's good faith knowledge, allow it to provide coverage; or

ii (ii) the First Named Insured has elected that the Policy will not cover such entity directly but will cover the First Named Insured's own financial interest in such entity.

Any entity falling within sub-paragraphs C.(i) or (ii) above is referred to as an "Uncovered Entity".

Where Financial Interest Coverage is triggered, the Policy will not provide any coverage for the Uncovered Entity, and the Insurer and First Named Insured further agree that:

i (iii) the First Named Insured has a financial interest in the Uncovered Entity because it benefits financially from the continued operation of the Uncovered Entity and/or would be prejudiced by loss to, or damage to, or liability incurred by the Uncovered Entity in the operation of its business; and

ii (iv) the Insurer shall indemnify the First Named Insured in respect of any loss to its financial interest, by way of agreed valuation calculated as the amount which would have been payable to the Uncovered Entity if a policy with the same terms and conditions as this Policy had been issued to such Uncovered Entity, save that no indemnity shall be provided in respect of any insuring clause which would have covered any individual person.

iii (v) where the First Named Insured is not, directly or indirectly, the 100% owner of the Uncovered Entity, the First Named Insured will act on its own behalf and on behalf of all other parties with a financial interest in the Uncovered Entity ("Other Interests") in purchasing insurance for 100% of the financial interests in the Uncovered Entity provided that the Other Interests have duly authorized the First Named Insured to so act and the Insurer is permitted to provide insurance to the Other Interests. In the event of a loss it is agreed that the Insurer shall fully discharge its obligations under this clause by paying, subject to the terms, conditions, limitations and exceptions of this Policy, 100% of the loss of the Other Interests to the First Named Insured.

Where loss to the financial interest of the First Named Insured is indemnified under this Policy, the Insurer shall be subrogated to all rights and remedies of the First Named Insured. If requested by the Insurer, the First Named Insured shall:

(v) report fully and fairly on any causes of action which the Uncovered Entity may have against any third party arising out of the facts and circumstances which gave rise to the loss; and

(vi) procure that the Uncovered Entity assigns to the First Named Insured the benefit of any cause of action it may have against any such third party (including any insurer issuing a policy to the Uncovered Entity) and that the Uncovered Entity shall cooperate with the Insurer in pursuing such cause of action.

2.6. Insured claim

These are the physical damage or physical losses that trigger this policy's covers.

2.7. The Insured

The Policyholder acting both on its behalf and on that of its subsidiaries or sub-subsidiaries under French or foreign law, i.e. any company whose capital or voting rights are directly or indirectly held at over 50 % and generally, any legal entities in which it directly or indirectly holds the administrative control and/or insurance, as well as:

- ✓ Companies of its group held for at least 50 % of the capital and/or voting rights, specifically named,
- ✓ Associations or economic interest groups or other form of joint venture that the above Insured Parties form with third-party companies, when they have the administrative management or when they have received an authorisation to insure the said associations or EIG or other "joint ventures".
- ✓ Joint Ventures (JV), all legal persons which the Policyholder and/or its subsidiaries directly or indirectly hold stakes in, or have administrative and/or insurance control over.
- ✓ Central committees, works councils, inter-committees, works committees, and all groups or organisations created by or for the staff of the insured companies.
- ✓ Any person occupying in whatever capacity an insured establishment.
- ✓ Co-owned properties and leasing companies.
- ✓ The State and local authorities, financial bodies and all other legal or natural person third-parties, when the status of Insured Party is formally imposed in the policies agreed with the Insured Parties listed in the preceding subparagraphs.
- ✓ And generally, all Third Parties, individuals or legal entities that benefit from a cover agreement.

It is specified and agreed that in the event of a sale by the Insured Party of all or part of one of its subsidiaries or of a group of subsidiaries and/or any establishment or part of an establishment, the coverage will continue to be acquired without subjectivity, if the Policyholder so desires, until the renewal date following the sale.

It is agreed that for the application of the "Insured Liabilities" heading, the Insured Parties named above are considered as Third Parties amongst themselves.

2.8. Insurance on behalf of whom it may concern

Notwithstanding what is stated under the "Insured" heading, the Policyholder, to whom the Insurer provides the option to specify after the loss the name of the third party who will benefit from the insurance, acts or can also act:

- ✓ On behalf of the owners of certain buildings and/or insured property.
- ✓ On behalf of lenders that participate in the financing of some of the insured properties (buildings and/or equipment).
- ✓ On behalf of co-owners' associations or property investment companies (the co-owners or shareholders taken together or individually).
- ✓ On behalf of the owners and/or depositors of the insured stocks of goods
- ✓ On behalf of its employees, including when they are a sub-tenant of covered risks for which the Insured is the main tenant
- ✓ and generally, on behalf of any another party for all movable or immovable property insured by this policy and for which the Insured is the holder in any capacity whatsoever.

This policy shall therefor apply:

- ✓ As "Liability Insurance" for the depositary, holder or occupier Insured Party when its liability may be or has been brought into play,
- ✓ As "Property Insurance" for the owners of the property items for which the Insured Party has accepted a contractual obligation to insure said property by means of Property damage insurance, subject to the limits in agreements signed before the insured event between the Insured Party and the owner of said property items.

However, the "INSURANCE ON BEHALF OF WHOM IT MAY CONCERN " clause, as it is set out above, in no case applies to the third-party owners of immovable or movable property held by the Insured, which it has not expressly been asked to insure the said property on their behalf and which in addition:

- ✓ **have waived any right of recourse against the Insured Party,**
- ✓ **and/or have included in any insurance policies they have taken out for said property a clause waiving any right of recourse against the Insured.**

It is understood that all the coverage of the policy applies under this clause, whether as property insurance or liability insurance.

It is specified that, given the general nature of the coverage granted by this policy to cover the insured policyholder as extensively as possible and solely in its interest, the above insurance will never run concurrently with other covers granted by other policies having been taken out elsewhere. In the event of a loss, these covers will be considered as primary insurance acting as excess in respect of those granted under this policy.

In addition, and subject only to its sole interests when an insured claim occurs, the policyholder will solely decide to claim under guarantee or not to the benefit of the beneficiary under a contractual obligation.

2.9. Waiver of any recourse

Notwithstanding the provisions stipulated in the French Insurance Code and in the General Conditions, the Insurer will not in the event of a loss take any action against:

- ✓ The individuals or legal entities in favour of which the Insured would have been called to contractually grant waivers of recourse such as:

  - Cooperating entities, co-contracting parties, owners of premises occupied by the Insured, owners of equipment held and used by the Insured, owners of goods deposited with the Insured, third party holders of equipment belonging to the Insured Party, depositories of insured goods, tenants or occupants of premises belonging to the Insured Party, subcontractors, etc).
  - The Policyholder company, subsidiaries, subsidiaries of subsidiaries, or in alliance or associated with its group and the companies in which the Insured Parties have a stake, their staff, central committees, work councils, and any other legal entities coming from them.
  - Employees, including those housed in the insured property
  - Co-ownership associations and insured property investment companies, co-owners and shareholders, taken together or individually, the managing agent or manager.
  - Operators and/or tenants of shopping centres, when the Insured is a co-ownership association or a property investment company, or when the Insured has waived any recourse against the said tenants and/or operators.
  - Economic interest groups formed with the insured companies.

And generally, all the companies and third parties that benefit from the insurance To Whom It May Concern.

These waivers of recourse also benefit the insurers of individuals or legal entities above but insofar this have been stipulated in waiver agreements

The above waivers of recourse are granted except in the case of malicious act.

In the case of malicious act, the Insurer's cover will remain acquired by the Insured Party. However, the Insurer will then retain its right of recourse against the person or persons found to be responsible for the insured event.

2.10. Insured Activities

All the most diverse activities of the companies of the **EUROAPI SA**, which has taken out this policy and particularly:

For information purposes only, it is recalled that the main activities of the Subscriber, including when they are carried out by third parties on a subcontracting basis, are notably

- ✓ Design, research, experimentation, exploitation, manufacturing, packaging, storage, distribution, sale, delivery, consulting, licensing, exploitation of licenses, patents and processes, sale of "know-how" with or without technical assistance of Active Pharmaceutical Ingredients (API)

These activities are carried out on our own behalf and/or on behalf of third parties, in particular by means of subcontracting agreements (CDMO _ Contract Development and Manufacturing Organization)

- ✓ Trading of Active Pharmaceutical Ingredients without production
- ✓ Secondary packaging of finished products
- ✓ Agronomic research, exploitation of poppy fields and commercialization, either on our own or by subcontracting to third parties.

2.11. Insured premises

All the risks for which the Insured, in any capacity whatsoever worldwide is:

- ✓ Owner
- ✓ Co-owner
- ✓ Bare owner
- ✓ Usufructuary
- ✓ Occupant in any capacity whatsoever
- ✓ Manager
- ✓ Or that it has been authorised to have insured.

The following is therefore a non-exhaustive list of what is covered:

- ✓ Stores
- ✓ Showrooms
- ✓ Corner displays
- ✓ Warehouses
- ✓ Factories
- ✓ Research and development centres
- ✓ Data Centres
- ✓ Head offices and offices, sales offices
- ✓ Apartments, housing, bungalows, marquees and temporary structures
- ✓ The moveable property of the Insured Party, or for which it is responsible, located at a third party's premises (including at franchisees or affiliates of the Insured Party)
- ✓ All the property assets of the insured companies including buildings in the process of being sold
- ✓ All the property in which the Insured Party has an insurable interest,
- ✓ Temporary occupations of all offices

2.12. Automatic coverage

Any new building, equipment, escalation of insured value on an insured location under this policy is automatically covered.

Any new location (in the spirit of a new address: e.g. a new premise situated at a different address locations already on the anniversary date of the policy) whose unit value exceeds the amount specified in Chapter **9** is automatically covered under this policy, with no prior notice to the Insurer required, for a period not to exceed 90 days starting when the Insured Party's Insurance Division or Insurance Department becomes aware of it.

Beyond a 90-day period and absent prior declaration to the Insurer, the cover will apply to this place of business up to the value limit specified in Chapter **9** .

2.13. New companies

Any new company that is dependent on the **GROUP EUROAPI** is automatically insured as soon as it is created or acquired. The assets of this new company will be subject to the automatic coverage specified in Chapter 9.

2.14. Errors-and omissions

Losses which would not be covered due to an error and/or accidental or involuntary omission by the Insured will be covered insofar as they would have been in the absence of the said error or of the said omission.

3. PROPERTY DAMAGE INSURANCE

3.1. Insured Property

Property which the Insured owns or is civilly liable for or for which it assumes liability or insurance to whom it may concerned.

All the movable and immovable property pursuant to the definition of the French Civil Code, (including those listed in article 533) in all conditions and in all stages, created, in the process of creation, or to be created, existing on the day of the loss, **without exception or reservation**.

Consequently, all buildings, movable or immovable fixtures and fittings, equipment, machinery, tools, assigned property, goods, finished and semi-finished products and all valuables, among others are insured.

3.2. Miscellaneous personal property at any location (“Floating”)

“Floating” means: Floating goods and professional equipment are owned by the Insured but stored outside all production and/or processing processes on locations that are not operated by the Insured.

In particular, goods sold by the Insured with a retention of title clause are listed in this category of goods.

These goods are covered up to the sub-limit stated in the “limits of cover and deductibles summary table”.

Moveable property is insured wherever necessary, namely: on the premises of all suppliers, clients, sub-contractors, depositories, warehouse keepers, carriers, and in general all third parties of various natures.

Special Provisions for property temporarily located on a third-party's premises for repair, overhaul, servicing and/or maintenance operations:
Insured Property temporarily located on a third-party's premises for repair, overhaul, servicing and maintenance operations is covered against all non-excluded damage, for the entire duration of their entire stay, including handling and moving on site, disassembly, reassembly, testing, controlling and verification.

It is stipulated that the Insurer retains its right of recourse against the service provider and its insurers, unless agreed otherwise.

3.3. Insured costs and expenses

Costs and losses directly related to non-excluded physical damage. These include:

3.3.1. Loss of rental income – loss of use-– loss of leasing instalments

This includes Indemnity:

a) for loss of rental income: for the amount of rent payments or lease instalments from tenants or sub-tenants or occupants that the Insured Party, as the owner or main tenant of the movable or immovable property, is deprived of in the event of a non-excluded physical damage.

b) For loss of use: all or part of the rental value of the premises occupied by the Insured Party as owner in the event it is temporarily unable to use all or part of its premises.

c) For additional rent: the rental payment or occupation costs incurred by the Insured Party for temporarily relocating to premises with identical conditions. Any rent and occupation costs paid by the Insured, as tenant or occupant, prior to the loss or even the rental value of the premises occupied by the Insured, as owner, will be deducted from the indemnity paid out under this coverage.

Regarding the coverage under points (a), (b) and (c) above, the indemnity will include fixed charges relating to the damaged premises.

d) For loss of instalments: for the amount of the lease or long-term rental instalments as well as any financial penalties and repurchase value due to the early termination of the lease agreement or long-term rental relating to the movable or immovable property on lease or long-term rental which, following a non-excluded claim, would remain payable by the Insured;

The costs and losses set out above are covered for the real time required to restore the property or damaged premises and/or during the time that the Insured is deprived of tenant and sub-tenant occupants, and within the limit of a **3-year** period from the day of the claim.

3.3.2. Financial losses related to fixtures and fittings

The tenant or occupant's loss of the financial investment made to install movable or immovable fixtures and fittings such as personal heating or air conditioning units as well as any floor, wall or ceiling covering and which become the property of the owner when, as a result of the physical damage :

- ✓ The lease expires by operation of law or the occupancy terminates
- ✓ Or the owner terminates the lease.

Or, if the lease and occupancy continue, the owner refuses to restore the fixtures and fittings as they existed at the time of the damage.

3.3.3. The cost of reinstating models, design moulds, archives, electronic media, tools

This concerns, following non-excluded physical damage, the reimbursement of the cost of reconstructing models, moulds (including templates and similar objects) designs, archives, files, negatives and microfilms and all electronic media.

"Cost of reinstatement" means the following:

a) The cost of reinstating or replacing physical media (paper, films, wood, metal, etc).

b) The most varied reconstruction costs (design, study, stages, etc.).

c) Duplication costs.

d) The costs of transferring reinstated information onto an identical physical support or equivalent to that which was damaged or destroyed.

<u>N.B.</u>

For the record: the costs for reinstating the media are excluded, when the documents or databases (duplicates of test and programming files, archives and all usable documents) required for the reconstruction do not exist or have disappeared for any reason whatsoever.
However, media not duplicated within the 48 hours that follow their creation are not part of this exclusion.

<u>"Computer media" means</u>: all electronic media (punch cards, tapes, disks, diskettes, reels or magnetic cassettes, etc.) already storing information.

3.3.4. Debris removal – demolition – decontamination costs

These are the debris removal and demolition costs, decontamination costs and disposal of toxic products, destruction costs, costs of removal and transportation of debris and rubble, clean-up costs on the site and its vicinity, sheeting costs, pumping and water or mud removal costs, cleaning costs, and costs incurred as a result of protective measures imposed by the authorities (for example, such as shoring up a wall bordering a public road) or for preventive security measures.

3.3.5. Cleaning costs, removal and treatment of products contaminating the land or water

This policy covers the costs necessarily incurred to clean, remove and treat contaminants whose presence is established and not only suspected affecting the following uninsured property: land, water or any other substance in or on the land in a situation of covered risks, where the release or dispersal of contaminants directly results in physical damage or losses under this policy and affecting the insured property.

However, no cover is granted for the costs of cleaning, removal and treatment of contaminants:

a) In a situation of risks insured only for movable property.

b) Having affected the insured property under the "errors or omissions" cover or insured by the cover for "unnamed sites" of this policy, if it is stipulated.

c) If the Insured does not notify the insurance company in writing of the contamination within the one-hundred ninety days following the date of occurrence of the insured physical damage or losses.

3.3.6. Travel expenses and reinstallation of movable property

The cost of transporting and reinstalling movable property when required in order to carry out repairs to damaged buildings as well as storage fees (transport and handling included).

3.3.7. Compliance with law and regulation costs

These are the costs required to bring the insured property into compliance with building laws and regulations in the case of the reconstruction or repair of the insured property damaged or destroyed by a covered event **(including fittings on the part of the property not affected by the insured event, but which the competent authorities require because of the insured event).**

3.3.8. Professional fees

These are fees paid to consulting engineers, the health and safety board, interior designers and/or all tradespersons (including those of the relevant departments of the Insured) whose work is necessary, incurred for repair or reconstruction of damaged or destroyed further to an insured claim

3.3.9. Judicial officer's fees

This is the reimbursement of the fees of judicial officers that the Insured Party has had to call on after the loss to record the damage in respect of the cover issued under this policy.

The amount of this reimbursement shall not exceed the amount of the fees and costs actually paid to the latter.

3.3.10. Reimbursement of the "Construction» insurance premiums

This concerns reimbursement in the case of reconstruction or repair of buildings and facilities damaged or destroyed by a covered event of:

- ✓ the Dommage-ouvrage" insurance premium (including cover for correct operation, existing and consequential financial loss),
- ✓ the "CNR" (Constructeur Non réalisateur) insurance premium when the Insured is the owner's representative, as well as the "RCMO" (Owner's Civil Liability) premium.
- ✓ Contractors All Risks, Erection All risk insurance premium.

3.3.11. Reimbursement of the cargo insurance premiums

This is the Reimbursement of the cargo Insurance premiums and Business Interruption arising from transport operations taken out for moving to the repairer and returning on site of damaged equipment further an insured claim.

3.3.12. Costs of leakage findings

These are costs incurred to find the exact location of the leak or seepage causing damage to the insured property.

3.3.13. Discharging, thawing, pumping costs

The cost of:

- ✓ thawing pipes and reservoirs which have unintentionally frozen

- ✓ discharging pipes and reservoirs and pumping any liquid that unintentionally appears outside its usual container
- ✓ The costs of clearing or removing water or any other liquid after property insured under this policy has fallen into and/or remained for a period in water or any other liquid.

3.3.14. Costs incurred to determine the root cause or the existence of damage

Coverage includes internal and external costs incurred by mutual agreement, in order to determine the existence or origin of non-excluded physical damage, such as costs incurred to inspect the insured property for which it cannot be determined whether or not it is damaged as a result of non-excluded property damage.

Costs of researching and investigating the insured property, incurred with the Insurer's agreement to determine the origin, cause and extent of the damage, are covered, even if, at the end of these operations it is ruled that the loss will not be covered under this policy.

3.3.15. Costs of salvage, conservation and protection

These are the costs that the Insured incurs to salvage, preserve and/or protect the insured goods in order to avoid or limit the consequences of damage covered by this policy.

These costs include amongst others the evacuation costs of the damaged premises and the additional costs to rent other premises.

3.3.16. Costs for reconverting basic software

In the event of physical damage affecting computer equipment, these are costs incurred to make the basic software of the damaged property compatible with the equipment that replaces it.

3.3.17. Fencing and/or temporary safeguarding/security costs

These are costs for sheeting, fencing and/or safeguarding necessarily incurred as a result of a non-excluded physical damage, for the temporary protection of the insured damaged property.

3.3.18. Costs and losses incurred by emergency and salvaging measures

These are:

- ✓ Costs and losses incurred by emergency and salvaging measures resulting from the combat against the physical damage that has occurred in the insured property.
- ✓ Costs and physical damage resulting from actions ordered by the civil or military authorities, when these actions are designed exclusively to prevent the spread of the physical damage or avoid its occurrence.
- ✓ Costs arising from the deliberate destruction of property when, for safety reasons and/or for preventing or limiting the scope of annon-excluded physical damage , such destruction was carried out as part of a rescue procedure.

3.3.19. Sue and Labour

These are the costs of temporary repairs and/or protective and/or mitigation measures that may be necessary in order to prevent an incident from getting worse or spreading, or generally those are carried out pending a permanent repair, incurred by the Insured.

3.3.20. Preventive costs and damages – Threats or imminent perils

These are destructions carried out and costs incurred in order:

- ✓ To prevent the imminent occurrence or propagation of an insured loss.

  Inasmuch as these destructions and costs incurred result from a decision taken by the Insured under due diligence and that:

- ✓ The urgency of the situation prevents the Insured from obtaining the Insurer's agreement within a time period that would avoid the occurrence and/or limit the worsening of the damage.
- ✓ The amount of the expenses incurred by the Insured does not exceed the amount of the damage that would have occurred if they had not been incurred.

It is specified that maintenance and preventive maintenance operations are excluded from this cover.

3.3.21. Temporary or accelerated repair costs

The following additional costs, incurred as a result of an incident:

- ✓ costs to have repairs or reconstruction executed outside of normal working hours
- ✓ temporary repair costs incurred in agreement with the Insurer's loss adjuster in order, amongst others, to be able to continue to operate the facilities
- ✓ Transport costs for all express means and, generally, all necessary extra costs incurred by the Insured to accelerate the replacement or reconstruction of the damaged insured property.

3.3.22. Cost of restarting

Costs required restarting insured facilities at the site where the insured event occurred, which the insured event, irrespective of its origin, caused to stop but which actually suffered no damage, including additional costs for supplies of electricity or consumables.

3.3.23. Untimely and/or accidental triggering of protection and/or emergency systems

These are all the costs for restoring damaged equipment and especially the cost of reloading products following untimely and/or accidental triggering of protection and/or emergency systems.

3.3.24. Ancillary expenses

Customs charges, normal or wide load transportation, testing, development and, generally, all ancillary costs needed to rebuild or repair the insured property.

3.3.25. Loan interest

This is the repayment of any loan interest that the Insured incurs as a result of an insured loss.

Such reimbursement shall not exceed the total interest on the term of the loans and will be payable only once when the loans have been contracted.

3.3.26. Bank overdraft interest

If, following a loss actually covered by this policy, the Insured is unable to carry out its billing operations or send reminders for bills already issued and that this impossibility obligates it to negotiate one or several bank overdrafts to meet its financial obligations, the Insurer shall cover the interest that the Insured will actually pay on these overdrafts and this for a maximum period of 12 consecutive months.

It is agreed that the amount of capital negotiated for the overdraft cannot exceed the reference billing.

In respect of this cover, the following items shall have the meanings stated below:

Billing: the total amount of the sums paid by customers in return for services that normally come under the company's activity and for which the billing has been carried out during the year or period under consideration.

Reference billing: the total amount of the billing drawn up and deposited during the period which, during the twelve calendar months immediately preceding the loss, corresponds day for day to the indemnity period.

Bank overdraft: the overdraft that the Insured will be obligated to negotiate with its bankers for the purpose, following damage to its electronic billing archives, of meeting its financial obligations.

Interest rates on overdrafts: the bank interest rate on the overdraft granted to the Insured cannot in any case be greater than the average rate of the money market on the day the overdraft is negotiated with the bank. If the overdraft interest rate were to be reduced during the indemnity period, this would be taken into account.

This cover only applies if the Business Interruption cover is not implemented.

3.3.27. Additional IT costs

All additional costs incurred by the Insured to continue its various activities in the event of an insured loss event affecting its IT system, whether the central computer or networks or isolated systems and whether the equipment is used for management, production (e.g. logistics) or research and development. These additional costs include not only:

- ✓ additional computer processing costs
- ✓ interest on bank overdrafts when the Insured is unable to perform its normal invoicing operations or chase existing invoices and this forces it to negotiate one or more bank overdrafts

as well as any other additional operating costs such as additional staff needed to operate the sites, the rental of cleanroom etc.

3.4. Overhead expenses (ie “Indirect losses”)

The indemnity for “indirect losses” does not reduce the indemnity due for business interruption.

3.4.1. Flat amount for indirect losses

The indemnity paid for an insured event affecting the insured property will be increased automatically by a fixed percentage indicated in Chapter **9** without any supporting documents being required from the Insured Party.

3.4.2. Indirect losses with supporting documents

In the event of a claim, on the basis of providing supporting documents, the Insurers will pay up to **10 %** of the indemnity that is to be paid under this policy for the damage caused to the buildings and equipment.

3.5. Insured liabilities

The liability insurance granted below will be exercised not only by virtue of the articles of the French Civil Code, but generally by virtue of all laws, decrees, and applicable regulations in force on the day of the loss.

3.5.1. Tenant's liability

a) Tenant's liability insurance:

These are the financial consequences of the liability of the tenant or occupant with regard to the owner for physical damagenot excluded by this policy affecting the movable or immovable property rented or under care and custody.

b) Additional tenant's liability insurance:

These are the financial consequences of the liability of the tenant or occupant when it extends to the entire building that it partially occupies.

For all tenant's liability insurance, it is hereby stated that, where the Insured Party, acting as tenant of a building, or part of a building or as renter of movable property, and its "property damage" Insurer benefit from a right of recourse waiver from the owner of the buildings (or movable property) and its Insurer, the Insured Party’s rental risks cover in respect of the owner of the property will be due if this waiver of the right of recourse is null because of a deliberate fault, malicious act, gross or serious misconduct committed by the Insured Party’s employees or any third-party whether or not under contract to the Insured Party, the owner being responsible for providing proof of such fault.

It is stipulated that the case of willfull act of the Insured Party remains excluded.

3.5.2. Liability of the holder or guardian

These are the financial consequences of the liabilities that the Insured as holder or guardian of movable property, can incur in respect of holders or depositors of this property for both physical damagecaused to this movable property and for the consequential financial loss resulting therefrom.

3.5.3. Recourse by tenants and occupants and recourse by neighbours and third parties

These are:

- ✓ The financial consequences of the liability that may be incurred by the Insured, as owner, for physical damageand consequential financial loss caused to tenants and occupants.
- ✓ The financial consequences of the liability that may be incurred by the Insured for physical damageand consequential financial loss caused to neighbours and third parties.

It is hereby clarified, notwithstanding the purpose of the policy, that this coverage includes property damage and consequential damages not excluded by this policy caused to neighbors and third parties as a result of Fire, Explosion or water damage when one of these events originated at the address insured under this policy.

This cover also applies in respect of recourse by neighbours and third parties, when an insured event occurs or originates at the insured addresses:

- ✓ Properties not covered by this policy, at the choice of the Insured Party or for which the Insured Party is liable, or holder in any manner whatsoever,
- ✓ Land dependent on the insured buildings, unless this cover is provided under a General liability policy taken out by the Insured Party.
- ✓ Property excluded in Chapter **6**.

3.5.4. Loss of enjoyment

These are the financial consequences of the tenant's liability in respect of the owner for loss of enjoyment resulting from the physical damage and financial loss caused to one or several co-tenants.

They are also the financial consequences of the owner's liability that it could incur for loss of enjoyment resulting from the physical damage and consequential financial loss caused to one or several co-tenants.

3.5.5. "Loss of rental income" liability

These are the financial consequences of the liability that may be incurred by the Insured, as a tenant, in respect of the owner for the rental of its premises, for that of its co-tenants and for the loss of use of premises occupied by the owner.

If the damaged premises are the subject of a lease, the indemnity will be based on the sums owed contractually under the lease agreement.

This liability is covered for the real time required to restore the equipment or damaged premises and/or during the time that the Insured is deprived of tenant and sub-tenant occupants, and within the limit of a 2-year period from the day of the damage.

3.5.6. Special provisions concerning risks abroad

The insured liabilities cover applies in countries where, by law or usage, it is usually provided under "property damage" insurance policies.

However, in countries where these covers are provided under policies other that "property damage:" insurance policies, this policy will nevertheless apply as follows:

- in addition, after the covers taken out elsewhere have been exhausted,
- and/or instead of covers that should have been taken out elsewhere.

It is stipulated that the covers taken out elsewhere UNDER A STAND ALONE POLICY will constitute a deductible for the purposes of this policy, which will operate as a second layer policy.

In addition, this master policy cannot be used to buy back deductibles under insurance policies the insured may have taken out elsewhere.

4. BUSINESS INTERRUPTION INSURANCE

4.1. Scope of coverage.

The Insurer covers the Insured for payment of Indemnity corresponding to the business interruption arising, during the indemnity period, from:

- ✓ loss of gross margin due to the decline in revenue caused by the interruption of or reduction in the company's business activity and determined by applying the rate of Gross margin to the difference between the turnover that would have been achieved during the indemnity period in the absence of a loss and the turnover actually achieved during that same period
- ✓ The amount of the increase in cost of working necessarily and reasonably incurred for the sole purpose of avoiding or minimising, during the indemnity period, the loss of Gross margin due to the reduction in revenue caused by the loss

which arise as a consequence of non-excluded physical damage caused by a non-excluded event to the insured Property,

Regarding the entrusted goods or floating, the scope of the coverage is extended as follows:

- To property belonging to the Insured for which the "Property damage" insurance is purchased by third party,
- To property not covered by this policy, which is located in an insured location, insofar as said property not covered by this policy would have been indemnified for, had it been covered under this policy.

4.2. Choice of indemnification mode

Any claim made under the Business Interruption cover may at the Insured's decision be based on either:

- **Loss of Revenue (Gross Profit)**: the Insured will be compensated for its losses, during the indemnity period, resulting from a stoppage or reduction in its activity following an insured event.
- **Loss of Production (Gross Earnings)**: the Insured will be compensated for its losses during the time needed to restore its lost or reduced production capacity following an insured event.

This choice may be made at any time after having received the report of the adjuster appointed by the Insured Party showing the amount of the losses according to the two indemnity calculations, i.e. Gross Profit and Gross Earnings.

If the claim relates to several sites, including on the basis of business unit interdependence, the chosen option will apply to all the affected locations of business.

The principle of indemnification for the Business Interruption cover described in **Chapter 7** applies to both forms (Gross Profit/Gross Earnings), except for the indemnity period which is different depending on the covers.

4.3. Extensions of cover

The cover is extended to cover business interruption arising from:

4.3.1. Direct Suppliers and Direct Subcontractors Contingent Business Interruption

The financial consequences of a total or partial interruption of the Insured's business following a physical damage which would have been covered by the policy if arise at Insured's location, including inability to access, occurring or caused in the premises or their vicinity and/or to the property and facilities (outdoor or not) of the direct suppliers, , subcontractors, shall be deemed financial consequences arising from physical damage to the Insured's property occurring in its own premises.

"Direct Suppliers" and "Direct Subcontractors" means all suppliers, subcontractors, hauliers, logistics firms, service providers, etc.

The "Supplier deficiency" limit does not apply to the financial consequences of an non-excluded physical damage affecting stock belonging to the insured, located at third parties 'premises who are managing and insuring this stock on behalf of a brand.

The coverage applies only to the direct suppliers and direct subcontractors.

4.3.2. Service interruption

This cover extends to business Interruption suffered by the Insured for the duration of the period in which the Insured is no longer supplied or inadequately supplied, arising from physical damage occurring in the facilities of direct suppliers of utilities required for the Insured Party's business activities (especially water, gas, electricity, steam, air, vacuum, coolant, fuel, etc) and of IT data flows.

It is stipulated in addition that no indemnity is due if the damage affecting the direct supplier's facilities was caused directly or indirectly by the Insured Party's failure to respect the terms and conditions of the agreements it has signed with its suppliers.

4.3.3. Client contingent Business interruption

The financial consequences of a total or partial interruption of the Insured Party's business following an non excluded physical damage which would have been covered by the policy if arises at Insured's location, including inability to access, occurring or caused in the premises or in their vicinity and/or to the property and facilities (outdoor or not) of its direct customers, shall be deemed financial consequences arising from physical damage to the Insured's property occurring in its own premises.

"Customer" means any company that orders directly from the Insured Party.

The coverage applies only to the direct Customer.

4.3.4. Denial of access

This is the interruption or reduction of the Insured Party's business activities following a non-excluded event occurring in the vicinity and causing physical damage that would have been covered if the property concerned had been covered under this policy, and preventing totally or partially entrance or exit from the locations where the insurance is in force and/or the use of the insured property.

This cover is also granted if this denial of access arises from a decision by acivil/military authority made exclusively within the context of the occurrence of a non-excluded physical damage in **the vicinity of the insured location (Max 1500 Meters).**

This guarantee is granted within the limit of 2 months of the gross margin. without exceeding the indemnity period guaranteed elsewhere in the contract.

4.3.5. Contractual obligations

These are penalties, indemnities, compensation or non-refundable payments that are imposed on the Insured following non-excluded physical damage, under its contractual requirements.

4.3.6. Additional extra expenses

These are all costs which, further increase costs of working incurred to reduce the loss of gross margin, are incurred as a consequence of a non-excluded claim and according to loss adjuster, to avoid or reduce the loss of revenue or in order to avoid a reduction in business.

4.3.7. Lost Credits/Lost Debits

Following a loss or damage to books, pieces, archives, and electronic media and accounting documents, cover applies to:

- ✓ Amounts owed by clients that the Insured is unable to recover due to the loss event
- ✓ Additional amounts incurred to recover these credits
- ✓ Overdraft charges on loans needed to offset such unrecovered credits, for the period between the date of the loss and the date the insurance indemnity is paid.

4.3.8. Loss of Royalties

Cover applies to:

- ✓ Royalties, fees or commission lost by the Insured when the Company paying these sums, is unable to pay said royalties, fees or commission following an insured loss event claim this company would have suffered from.
- ✓ Royalties following a loss insured event for premises that it rents under a management agreement or which it manages under a service contract.

4.3.9. Other Financial Losses

The Insured Party is also covered for:

- ✓ Purchases (raw materials etc)
    - ordered prior to the insured claim,

        - which it is obliged to pay to its suppliers,
        - which it is no longer able to use either at the damaged site or at other sites,
        - And which it cannot sell on to third parties or which it would sell at a loss.
- ✓ Reasonable additional costs which, according to the Loss adjusters, it has to incur by buying on the market any products it is temporarily unable to manufacture, in order to honour the contracts it has signed with its clients or to commercially fulfil them.
- ✓ Losses suffered when stocks of goods not destroyed or damaged by the non-excluded physical damage cannot be transformed or sold in good time due to the loss event and are either lost or sold below normal price
- ✓ Losses suffered to reinstate its stocks at prices higher than those in force on the day of the loss event
- ✓ Losses suffered due to commercial and promotional activities conducted after the loss event in order to recover its customer base as soon as possible.

4.4. Special agreements

4.4.1. Administrative constraints

The Insured Party is automatically covered when, following a non-excluded physical damage affecting one of the **insured locations** it is ordered by any relevant authority to suspend or reduce its activities or to postpone the resumption of its company's business activities.

This guarantee is granted within the limit of 2 months of extension of the indemnity period resulting from this administrative decision, without exceeding the indemnity period guaranteed elsewhere in the contract.

4.4.2. Additional costs incurred by sites not generating revenue

The Insurer will pay the Insured for any Additional Costs during the 24-MONTH indemnity period resulting from an increase in operating costs; the indemnity amount will include all costs incurred by the Insured in order to continue the activities affected by the claim and which are the consequence of insured **physical** damage sustained by the insured property.

4.4.3. Insured event affecting a research establishment

The provisions below apply when the insured event reaches a research establishment covered under this policy, which does not of itself generate any revenue.

- ✓ Calculation of indemnity

The loss will be assessed at the amount of the fixed operating costs of the damaged establishment, including the share of overheads allocated to this establishment by the Insured Parties in accordance with their own management accounting, which continue after the insured event and are written off without producing the expected research efforts and results.

An additional flat indemnity amount of 10% of the indemnity will be allocated to cover the economic loss arising from the delay suffered by the Insured Parties to carry out their research.

- ✓ Indemnity period

The Indemnity period ends as soon as the research facility has been reconstituted and at the latest within the indemnity period following the occurrence of the insured claim.

4.4.4. Reinstatement of stocks

If the use of the stocks of finished products not physically damage by the insured claim makes it possible to reduce the decrease in revenue during the period of indemnity, if this stock cannot be re-instated during said period and resulting later in a loss for the Insured Party, the indemnity likely to be paid for this will be assessed by the loss adjusters. In particular, the Insurer undertakes to indemnify for additional costs incurred beyond the indemnity period to reinstate the stock back up to its level on the day of the loss occurred.

4.4.5. Insurance by business unit

If on the date of the insured event, a breakdown of the Insured's financial results by site and/or by business unit or line of production can be obtained from its accounts, the Insured may ask that the provisions of the Business Interruption terms and conditions apply separately to each site or region affected by the insured event.

4.4.6. Compliance with law

Cover extends to the consequences of the aggravation of an insured loss due to bringing the damaged premises and facilities in compliance with regulations.

4.4.7. Advance payments

Pending final payment of the indemnity, if the Insured Party so requests and if justified according to the adjuster, the Insurer will pay advance instalments to meet the expenses that the Insured has incurred or must incur to cover its fixed and additional operating costs.

4.4.8. Interdependencies

Interdependencies between the risks and/or companies insured by the Master policy, the reinsured local policies or by DIC/DIL, are automatically covered, i.e. operating losses and other costs that are sustained in a chain-reaction by all and/or each of them following an insured claim at one of them, the losses being assessed on an overall basis.

4.4.9. Overheads Expenses (“Indirect losses”)

Any Indemnity that may be paid to the Insured Party under an "indirect losses" cover to make up for insufficient "Direct Damage" insurance or the difference between the depreciation value and the new replacement value of the damaged property, or any other loss arising from the insured event incurred by the Insured Party will not be subject to the "cumulative insurance" rules provided in the FRENCH LAW OF 13 JULY 1982.

4.4.10. Termination of activities

If, following an insured claim, the company does not resume one or all of its previous activities; no indemnity shall be due in respect of the discontinued activities. However, if the termination of activities is attributable to an event which does not depend on the will of the Insured Party and is revealed after the incident, the Insurer will compensate the Insured Party per the terms and conditions of this policy, taking into account the costs of insured items and charges, including staff remuneration and/or various allowances, etc.) actually incurred by the Insured Party.

However, such indemnity shall under no circumstances be greater than what would have been paid if the company relocated to the same place.

4.4.11. Restructuring costs/Changes and Alterations to/Reconversion of the business activities of insured location

In case of an insured claim, if the Insured decides to change its production means or sales resources, to close or convert or change the business activities of the damaged location, the "loss of gross margin" cover will be changed to cover the corresponding costs incurred. Nevertheless, the indemnity due by the Insurer may not exceed the amount it would have paid if the business activity had continued normally.

4.4.12. Relocation to Other Premises

In case of an insured claim, the cover will extend to relocating the Insured to new premises within the insured territorial limits. In this case, the indemnity paid to the Insured may not exceed the amount which, in the opinion of the adjusters, would have been paid had it restarted its business activity in the damaged premises.

4.4.13. Assistance

If, following an insured claim, a location decrease of revenue can be stopped or diminished by means of help from one or more other undamaged Insured location, these locations providing assistance will also be compensated as if they had been affected by the insured event.

However the overall indemnity may not exceed the amount which would have been paid to the damaged location if it had not been assisted.

4.4.14. General trends

The general trend for the Insured Party’s business activity and internal or external factors that altered its general running before or after the insured claim will be taken into consideration.
The purpose of the general trends is to determine as accurately as possible the result that the Insured would have recorded had the insured event not occurred.

5. EXPERTS' FEES

This is the reimbursement of expenses and fees of experts, which the Insured after the loss has itself selected and appointed to defend its interests in respect of all coverage granted under this policy.

Are also included fees paid by the Insured to the various accounting or other firms responsible for supplying or verifying the supporting documents requested by the Insurer to investigate an insured claim covered under the policy.

6. EXCLUSIONS

6.1. Excluded property

Damage that affects the following property is excluded, except with regard to recourse taken by neighbours and third parties and with regard to recourse taken by tenants and occupants:

6.1.1 LAND, GROWING CROPS, STANDING TIMBER, CROPS AND VEGETATION, LAKES OR RIVERS, THE SUBSOIL INCLUDING WATER OR ANY SUBSTANCE THAT THE AFOREMENTIONED CONTAIN OR COULD CONTAIN IN THE FUTURE; *however, landscaped areas remain covered if insured buildings are damaged during the same claim.*

6.1.2 WATER*; extinguishing water, as well as non-excluded damages consequential to the action of water (e.g. excess or lack thereof) remain covered.*

6.1.3 ANIMALS; *it is explicitly stated that this exclusion does not apply to non-excluded damage caused in addition by the animal following FLEXA, or to required animals which take part in the Insured Party's activities in to the limit specified in Chapter 9.*

6.1.4 MOTORISED VEHICLES AND THEIR TRAILERS OR ARTICULATED TRAILERS WHOSE ENTRY INTO SERVICE REQUIRES MANDATORY INSURANCE TO BE TAKEN OUT*; however, this exclusion does not apply to*

- *contractor's plant end equipments located inside or in the vicinity or the insured locations*
- *in case of fire and/or explosion, vehicles located inside or in the vicinity or the insured locations*

6.1.5 RAILWAY TRAINS AND ROLLING STOCK OUTSIDE INSURED LOCATIONS.

6.1.6 AIRCRAFT, SPACECRAFT, WATERCRAFT, OFFSHORE PROPERTY.

6.1.7 DAMS, DYKES, CANALS, BRIDGES, TUNNELS, ROADS, ROADWAYS, RAILWAYS AND QUAYS, PIPELINES, AND ANY EQUIPMENT AND CONTENT RELATING THERETO, OUTSIDE OF THE INSURED LOCATIONS.

However

- *roads and utilities networks inside insured locations*
- *unloading dock, car parks as part of an insured building remained covered*

6.1.8 UNDERGROUND MINES AND THE EQUIPMENT REQUIRED FOR MINING ACTIVITIES, LOCATED UNDERGROUND.

6.1.9 PROPERTY BEING BUILT/ASSEMBLED/DISASSEMBLED/TESTED THAT HAVE NOT BEEN THE SUBJECT OF PROVISIONAL OR FINAL ACCEPTANCE, *except for those subject to the "Property being built/assembled/disassembled/tested" limit provided in the schedule.*

Subject to the lead insurer's approval, cover for said property may be put in force before the final acceptance, starting from-commissioning.

However, the usual verification of proper operation, usual repair operations and all maintenance operations remain covered.

It is specified that, in all cases, damage to "existing" property not otherwise excluded is covered up to the general policy limit, this policy will respond in excess of the greater of the following two amounts:

o "Damage to Existing Property" coverage, if any, provided for in any "Construction All risks / Erection All risks" policy purchased,

o Absolute deductible under this policy.

6.1.10 BUILDINGS INTENDED FOR DEMOLITION OR IN COURSE OF DEMOLITION.

However the following remain covered:

– non-excluded damage affecting property not intended for demolition,

– costs of consequential clean-up and caretaking costs

– the liabilities

6.1.11 TRANSMISSION & DISTRIBUTION LINES INCLUDING PYLONS OUTSIDE THE INSURED LOCATIONS.

6.1.12 FURS, JEWELLERY, PRECIOUS STONES, PEARLS, PRECIOUS METALS, WORKS OF ART, COLLECTIONS, WHEN SUCH PROPERTY IS NOT AN INTEGRAL PART OF THE INSURED'S BUSINESS ACTIVITIES.

6.1.13 PRODUCTS OR GOODS MANUFACTURED BY THE INSURED PARTY, THE CHARACTERISTICS OF WHICH MAKE THEM UNFIT FOR USE OR FOR SALE*, unless such defects are the result of non-excluded* physical *damage.*

6.1.14 NETWORKS AND PIPES OUTSIDE INSURED LOCATION,

6.1.15 PROPERTY IN TRANSIT OUTSIDE INSURED LOCATION, *except for that covered by the "property in transit" limit specified in Chapter* ***9*****.** *Loading and unloading operations remain insured.*

6.2. Excluded damage and events

6.2.1 BODILY INJURY.

6.2.2 DAMAGE RESULTING FROM THE INTENTIONAL OR WILFUL ACTS OF THE CORPORATE OFFICERS OF THE INSURED, WHETHER THEY ACT ALONE OR IN COLLUSION WITH THIRD PARTIES.

6.2.3 CRIMINAL PENALTIES.

6.2.4 DAMAGE CAUSED BY A FOREIGN OR CIVIL WAR (*the insured must prove that the damage results from an event other that of foreign war and the insurer that it results from the civil war***), THE SEIZURE OR DESTRUCTION, NATIONALISATION, CONFISCATION EXPROPRIATION, DEPRIVATION, REVOLUTION, REBELLION, INSURERECTION OR REQUISITIONING BY THE CIVIL OR MILITARY AUTHORITIES.**

6.2.5 DAMAGE OR WORSENING OF DAMAGE CAUSED BY:

- ✓ **WEAPONS OR MACHINES INTENDED TO EXPLODE THROUGH MODIFICATION OF THE CORE STRUCTURE OF AN ATOM;**
- ✓ **ANY NUCLEAR FUEL, PRODUCT OR RADIOACTIVE WASTE, OR ANY OTHER SOURCE OF IONISING RADIATION WHICH INCURS THE EXCLUSIVE LIABILITY OF AN OPERATOR OF A NUCLEAR FACILITY OR CAUSED BY THE SUPPLY OF GOODS OR SERVICES RELATING TO A NUCLEAR FACILITY ABROAD OR DIRECTLY AFFECTING A NUCLEAR FACILITY.**

6.2.6 OPERATING DEFECT, THAT MEANS DEFECT WHICH HAS NOT CAUSED PHYSICAL DAMAGE TO THE INSURED PROPERTY BUT WHICH AFFECTS ITS NORMAL OPERATION, *nevertheless, the following remain covered***:**

- ✓ *Non-excluded damage for which* operating defect is the *cause,*
- ✓ Operating defect *of equipment following non-excluded damage.*

6.2.7 DAMAGE OR LOSSES FROM AN INHERENT DEFECT WHICH THE INSURED WAS FULLY AWARE OF WHEN TAKING OUT THE POLICY. *However, non-excluded damage, if any, resulting from this initial damage remains covered***.**

6.2.8 DAMAGE RESULTING FROM FOG, HUMIDITY OR DROUGHT OF THE ATMOSPHERE, EXCESS OR CHANGE OF TEMPERATURE (ATMOSPHERIC NATURE ONLY) STEAMS FROM INDUSTRIAL OPERATIONS, CONTRACTION, EVAPORATION, *unless***:**

If consequences of damage not excluded by this policy. Accidental events also include the malfunction of any installation or equipment intended to maintain the property in specific temperature or humidity conditions.

Non-excluded damage results from these events (in this case, the Insurer only cover this consequential physical *damage and its consequences).*

Damage caused by freezing in the premises inasmuch as it is normally heated is obviously covered, except in unforeseeable circumstances or due to a force majeure event, as damage caused by freezing to property normally and habitually located outdoors, as intended and/or by usage in Insured's operation

6.2.9 WEIGHT LOSS, LOSS OF VOLUME, EVAPORATION, CORROSION, EROSION, GRADUAL DETERIORATION, SCALING, ROTTING, MOULD, DAMAGE CAUSED BY VERMIN AND INSECTS, CHANGE OF APPEARANCE, ODOUR OR TASTE, CONTAMINATION, FERMENTATION, OXIDATION (EXCEPT SLOW COMBUSTION),

unless:

- ✓ *As a consequence of non-excluded damage.*
- ✓ *Non-excluded damage resulting from these events (in this case, with the Insurer only covering the damage thus caused and its consequences).*

6.2.10 DAMAGE CAUSED BY ENVIRONMENTAL POLLUTION (BY EVAPORATION, EMISSION, DISPERSION, DISCHARGE AND/OR DEPOSIT OF ANY POLLUTANTS, WHETHER SOLID, LIQUID OR GAS) AND THE ENSUING CONTAMINATION OF GOODS.

However, coverage is provided for the physical damage to the insured property caused by:

- ✓ *The pollution or contamination resulting from insured damage.*
- ✓ *An insured loss itself resulting from pollution or contamination.*

FINANCIAL CONSEQUENCES OF THE LIABILITY OF THE INSURED DUE TO THIS DAMAGE REMAIN EXCLUDED.

6.2.11 DAMAGE DUE TO WEAR AND TEAR OTHER THAN SUDDEN AN ACCIDENTAL IRRESPECTIVE OF THE ORIGIN (THERMAL, CHEMICAL OR MECHANICAL) AND DAMAGE ARISING FROM THE LONG-TERM EFFECTS OF OPERATION SUCH AS OXIDATION, CORROSION, RUST INCRUSTATION, BUILD-UP OF SOILING AND SCALE.

unless:

- ✓ *As a consequence of non-excluded damage.*
- ✓ *Non-excluded damage resulting from these events (in this case, with the Insurer only covering the damage thus caused and its consequences).*

6.2.12 DAMAGE CAUSED BY EXPOSURE TO RAIN, THE ACTION OF THE WIND, MELTED SNOW, SNOW, HAIL, SAND OR DUST, TO INSURED PROPERTY LOCATED OUTDOORS. *If subsequent* physical *damage which is not elsewhere excluded occurs, such subsequent damage will be covered***.**

This exclusion does not apply to:

- ✓ *Natural disasters according to the provisions set out in the appendix.*
- ✓ *Property normally situated outdoors, as intended and/or by usage in the business exercised by the Insured.*

6.2.13 COSTS INCURRED TO RECTIFY FAULTY DESIGN, FAULTY WORKMANSHIP, FAULTY MATERIALS. *Consecutive* physical *damage remains covered*

6.2.14 CRACKING, CONTRACTIONS, SUBSIDENCE, SWELLING IN BUILDINGS AND FOUNDATIONS,

unless

- ✓ *As a consequence of non-excluded damage.*
- ✓ *Non-excluded damage resulting from these events (in this case, with the Insurer only covering the damage thus caused and its consequences).*

6.2.15 LOSS OF CONTRACTS BEYOND THE END OF THE INDEMNITY PERIOD.

6.2.16 FINANCIAL LOSS RESULTING FROM THE WORK STOPPAGE AS PART OF A WORK CONFLICT.

However, the cover remains acquired when the business interruption is the consequence of physical *damage to insured property in relation to the work stoppage.*

6.2.17 SHORTAGE IN INVENTORIES, OR UNEXPLAINED DISAPPEARANCES.

6.2.18 MISAPPROPRIATION OF FUNDS OR INFORMATION, FRAUD, LOSSES DUE TO THE TAKING OF HOSTAGES, EMBEZZLEMENT, BREACH OF TRUST, FRAUD, FALSIFICATIONS, EXTORTIONS, RANSOM DEMANDS.

6.2.19 DAMAGE TO BUILDINGS WHICH, DURING THE TEN-YEAR WARRANTY PERIOD, IN FRANCE COMES UNDER THE "BUILDING DAMAGE" INSURANCE STIPULATED BY LAW NO. 78-12 OF 4 JANUARY 1978. physical *damage to an insured structure (and its contents) occurring within the 10 years following its acceptance which may come under a ten-year warranty, insofar as it is accidental* physical *damage, such as a partial or total collapse, remains covered. where a building defect cover has been taken out, this policy shall apply after said cover has been exhausted***.**

IN ADDITION, IT IS STATED THAT ABROAD, ALL DAMAGE TO BUILDINGS AND THEIR EQUIPMENT ARE EXCLUDED, WHICH IN THEIR ORIGIN OR THEIR EXTENT RESULT FROM A DEFECT IN THE GROUND, A DEFECT IN MATERIALS, A DEFECTIVE WORKMANSHIP OR A DEFECT IN DESIGN AND FOR WHICH THE CONSTRUCTORS, MANUFACTURERS, IMPORTERS OR TECHNICAL INSPECTOR ARE LIABLE; however *damage from collapse of the structure remains covered beyond the period of liability incumbent of contractors*

6.2.20 THE FINANCIAL CONSEQUENCES OF THE CIVIL LIABILITY INCURRED BY THE INSURED OTHER THAN THAT LINKED TO THE OCCUPANCY OF THE BUILDINGS SET OUT IN THE SECTION "INSURED LIABILITIES" OF THIS AGREEMENT.

6.2.21 THEFT OR ATTEMPTED THEFT COMMITTED WITHOUT THREATS OR WITHOUT VIOLENCE OR WITHOUT BREAKING AND ENTERING INTO THE PLACE OF BUSINESS CONTAINING EITHER THE INSURED PROPERTY OR THE KEYS TO ACCESS SAME OR WITHOUT USE OF FORGED KEYS OR INTRUSION OR WITHOUT CLIMBING.

6.2.22 THEFTS COMMITTED DURING THE OCCUPATION (AS PART OF WORK CONFLICTS) OF ALL OR PART OF THE INSURED BUILDINGS OR PREMISES CONTAINING THE INSURED PROPERTY.

6.2.23 THEFTS COMMITTED BY MEMBERS OF THE FAMILY OF THE INSURED UNDER ARTICLE 380 OF THE FRENCH CRIMINAL CODE OR WITH THEIR COMPLICITY.

6.2.24 THEFTS FOLLOWING A COMPULSORY EVACUATION OF THE INSURED LOCATIONS, *except where said location are subject to permanent safeguarding***.**

6.2.25 THEFTS FROM SAFES COMMITTED WHEN THE SAFES ARE NOT CLOSED BY ALL THE DEVICES STIPULATED BY THE MANUFACTURER.

6.2.26 BREAKAGE, *except by accidental cause*, **OF PARTS WHICH DUE TO THEIR USE AND/OR NATURE, EXPERIENCE WEAR AND TEAR REQUIRING REGULAR REPLACEMENT.**

However, the cover still applies in the event that interim measures are implemented to reduce or prevent financial losses resulting from damage to the insured property and when these measures are brought to the attention of the Insurer or its adjuster within 5 days of discovering such damage.

6.2.27 BREAKAGE ARISING FROM THE USE OF THE INSURED PROPERTY BEFORE ITS FINAL RESTORATION, WHEN THE INSURED PARTY IS FULLY AWARE OF A FAULT OR POOR WORKMANSHIP OR PRIOR DAMAGE (COVERED OR NOT COVERED) WHICH FAILURE TO REPAIR OR WITHDRAW SAME MUST NECESSARILY RESULT IN THE OCCURRENCE OF DAMAGE.

6.2.28 NOTWITHSTANDING ANY PROVISION TO THE CONTRARY, THIS POLICY DOES NOT COVER:

- **DAMAGE TO DATA ON ANY COMPUTER MEDIUM (DURING STORAGE BUT ALSO DURING TRANSMISSION AND PROCESSING), DAMAGE TO THEIR INTEGRITY OR CONFIDENTIALITY, DAMAGE RESULTING FROM THE TOTAL OR PARTIAL IMPOSSIBILITY FOR THE INSURED TO USE OR ACCESS THE DATA HELD BY HIM OR BY HIS SERVICE PROVIDERS OR SUPPLIERS, AS WELL AS THE COSTS AND LOSSES (INCLUDING BUSINESS INTERRUPTION LOSSES) RESULTING THEREFROM;**

As far as their coverage is provided for in the policy, the costs of duplicating data on computer media and the cost of reconstructing data on non-computer media, resulting from physical damage not excluded by the contract, remain covered, unless such duplication or reconstruction is made impossible by the disappearance of the basic information;

- **DAMAGE, COSTS AND LOSSES (INCLUDING BUSINESS INTERRUPTION LOSSES) RESULTING FROM MALFUNCTIONS ATTRIBUTABLE TO DATE CODING, AFFECTING ELECTRONIC OR COMPUTER EQUIPMENT AND COMPUTER PROGRAMS.**

- **DAMAGE, COSTS AND LOSSES (INCLUDING BUSINESS INTERRUPTION LOSSES) OF ANY KIND THAT ARE THE CONSEQUENCE OF COMPUTER-RELATED MALEVOLENCE, INCLUDING SABOTAGE AND COMPUTER FRAUD**

BY EXCEPTION TO THESE EXCLUSIONS, physical **DAMAGES DUE TO FIRE OR CONSECUTIVE EXPLOSION ARE STILL COVERED.**

IN THE SENSE OF THE PRESENT EXCLUSION:
"**COMPUTER MEDIA**" MEANS DEVICES CAPABLE OF RECEIVING, STORING AND RESTORING INFORMATION IN COMPUTER, ANALOGIC, NUMERIC, QUANTIC OR ELECTRONIC FORM.
"**DATA**" MEANS ALL INFORMATION, CONTENT, OPERATING SYSTEMS, APPLICATION SOFTWARE OR PROGRAMS STORED IN COMPUTER, ANALOGIC, NUMERIC, QUANTIC

OR ELECTRONIC FORM, WHATEVER ITS MEDIUM OR MODE OF TRANSMISSION. THE NOTION OF "DATA" DOES NOT EXTEND TO THE PHYSICAL MEDIUM ITSELF.

THE TERM "**COMPUTER-RELATED MALEVOLENCE**" REFERS TO:

- ANY ACCESS, INTRUSION, UNAUTHORISED MAINTENANCE OR ABUSE OF ACCESS RIGHTS IN THE INSURED'S COMPUTER SYSTEM;

OR

- ANY COMPROMISE OF ALL OR PART OF THE INSURED'S COMPUTER SYSTEM;

OR

- ANY INTRODUCTION OR PROPAGATION OF MALICIOUS SOFTWARE WITHIN THE INFORMATION SYSTEM OF THE INSURED;

OR

- ANY UNAUTHORISED USE OF THE INSURED'S COMPUTER SYSTEM;

OR

- A DENIAL OF SERVICE OR ANY ACT OF SABOTAGE AIMED AT RENDERING ALL OR PART OF THE INSURED'S COMPUTER SYSTEM INOPERABLE;

OR

- ANY UNAUTHORISED INTRODUCTION, EXTRACTION, THEFT, REPRODUCTION, TRANSMISSION, DELETION, DISCLOSURE OR MODIFICATION OF DATA CONTAINED IN OR USED BY THE INSURER'S COMPUTER SYSTEM, INCLUDING THE THEFT OF PHYSICAL MEDIA USED TO STORE SUCH DATA,

COMMITTED BY A THIRD PARTY OR NOT.

6.2.29 NOTWITHSTANDING ANY PROVISION TO THE CONTRARY, THIS POLICY DOES NOT INSURE ALL CLAIMS, DAMAGES, LOSSES, COSTS AND EXPENSES OF ANY KIND ATTRIBUTABLE TO, ARISING FROM AND/OR RESULTING FROM:

1. ANY COMMUNICABLE DISEASE;

2. ANY ACT, ERROR, FAILURE OR OMISSION IN THE CONTROL, PREVENTION OR ERADICATION, EVEN AS A PREVENTIVE MEASURE, OF AN EPIDEMIC OF A COMMUNICABLE DISEASE;

3. ANY MEASURE TAKEN BY THE STATE, ANY ADMINISTRATIVE OR JUDICIAL AUTHORITY RESULTING, DUE TO A COMMUNICABLE DISEASE, IN:

- THE INTRODUCTION OR APPLICATION OF MEASURES RESTRICTING THE FREEDOM OF MOVEMENT OF PERSONS AND/OR ANIMALS;

- THE INTRODUCTION OR APPLICATION OF MEASURES INVOLVING ADMINISTRATIVE CLOSURES OF BUSINESSES AND/OR PUBLIC SERVICES

- AND/OR THE SUSPENSION OR INTERRUPTION, OR REDUCTION OF THE INSURED'S ACTIVITIES

WITHIN THE MEANING OF THIS EXCLUSION:

- COMMUNICABLE DISEASE" MEANS A CONTAGIOUS DISEASE OR CONDITION RESULTING FROM A BACTERIUM, PRION, VIRUS, PARASITE, FUNGUS OR

PATHOGEN OR ITS TOXIC CONSEQUENCES, TRANSMITTED OR SPREAD DIRECTLY OR INDIRECTLY:

- BY HUMAN BEINGS, PLANTS OR ANIMALS;

- BY LIVING OR NON-LIVING ORGANISMS;

- BY PROPERTY;

- BY WATER, AIR OR LAND.

- EPIDEMIC" MEANS A SPREAD OF A COMMUNICABLE DISEASE DESIGNATED AS AN EPIDEMIC, PANDEMIC, PUBLIC HEALTH EMERGENCY OF INTERNATIONAL CONCERN OR EPIZOOTIC BY THE WORLD HEALTH ORGANISATION (WHO), THE WORLD ORGANISATION FOR ANIMAL HEALTH, AND/OR THE RELEVANT LOCAL PUBLIC AUTHORITIES OF A COUNTRY IN WHICH THE EPIDEMIC, PANDEMIC, PUBLIC HEALTH EMERGENCY OF INTERNATIONAL CONCERN OR EPIZOOTIC OCCURS.

Subject to the terms and conditions of the Policy, it is hereby agreed that remain covered the losses, costs and expenses linked to, arising out of and/or resulting from the release of bacterium, prion, virus, parasite, fungus or another pathogen used in or contributing to the Insured's activities, which is directly caused by a non-excluded physical damage affecting insured property, provided that such damage does not occur simultaneously on more than one insured location.

It is understood that:

- the losses, costs and expenses detailed above are bought back provided that the non excluded physical damage occurred on insured premises,

- the interdependencies between insured locations remain covered,

- ANY FORM OF LIABILITY REMAINS EXCLUDED.

The period of indemnity in respect of the above shall be a maximum of 6 months, of which 2 months in respect of "Administrative Constraints" as defined in paragraph 4.4.1 herein, but not exceeding any other period of indemnity stated elsewhere in this policy.

6.2.30 BUSINESS INTERRUPTION, COSTS AND EXPENSES, INCREASE COSTS OF WORKING THAT ARE NOT THE RESULT OF A PHYSICAL DAMAGE.

6.2.31 BUSINESS INTERRUPTION FOLLOWING THEFT.

6.2.32 BUSINESS INTERRUPTION FOLLOWING TRANSIT.

6.2.33 ATTACKS, ACTS OF TERRORISM OUTSIDE THE FRENCH NATIONAL TERRITORY AND OUTSIDE OVERSEAS FRENCH COMMUNITIES (NEW CALEDONIA, FRENCH POLYNESIA, FRENCH SOUTHERN AND ANTARCTIC LANDS).

6.3. Regional exclusions

6.3.1 IN SOUTH AFRICA

THE FOLLOWING EVENTS COMING UNDER THE SASRIA COVER

- **ALL ACTIONS (IRRESPECTIVE OF WHETHER THEY ARE PERPETRATED IN THE NAME OF AN ORGANISATION, A PERSON OR A GROUP OF PERSONS) CARRIED OUT WITH THE AIM OF OVERTHROWING OR INFLUENCING A STATE OR GOVERNMENT, OR A PROVINCIAL, LOCAL OR TRIBAL AUTHORITY BY FORCE OR BY MEANS OF INTIMIDATION, TERRORISM OR VIOLENCE.**
- **ALL ACTIONS CARRIED OUT TO POLITICAL ENDS OR WITH THE AIM OF CAUSING SOCIAL OR ECONOMIC PROBLEMS, OR WITH THE AIM OF PROTESTING AGAINST A STATE OR GOVERNMENT, OR A PROVINCIAL, LOCAL OR TRIBAL AUTHORITY, OR AIMING TO SPREAD FEAR AMONG THE POPULATION OR WITHIN THE AFOREMENTIONED INSTITUTIONS.**
- **ALL RIOTS, STRIKES OR DISTURBANCES OF PUBLIC ORDER, OR ANY OTHER ACT OR ACTION CARRIED OUT WITH THE AIM OF TRIGGERING A RIOT, STRIKE OR OF DISTURBING THE PUBLIC ORDER.**
- **ANY ATTEMPT TO PERPETRATE AN ACT SPECIFIED IN PARAGRAPHS 1, 2 AND 3 ABOVE.**
- **THE ACTS OF A LEGALLY-CONSTITUTED AUTHORITY AIMING TO CONTROL, RESTRICT OR SUPPRESS ANY ACTIONS, SUCH AS THOSE LISTED IN PARAGRAPHS 1–4 ABOVE.**

6.3.2 IN NAMIBIA:

RIOTS AND POPULAR UPRISINGS AND OTHER ACTS OF A POLITICAL NATURE INSOFAR AS THEY CAN BE COVERED BY THE SPECIAL NASRIA COVER.

6.3.3 IN GERMANY

WATER DAMAGE RESULTING FROM FLOODS DUE TO THE ACTION OF BREAKING WAVES ("STURMFLUT") IN THE FOLLOWING STATES: HANSEATIC CITIES (HANSESTADTE), NIEDERSACHSEN, SCHLESWIG-HOLSTEIN, MECKLENBURG-VORPOMMERN, BRANDENBURG, BREMEN AS WELL AS IN BREMERHAVEN AND HAMBURG

6.3.4 IN SPAIN:

THE DAMAGE AND/OR LOSSES THAT COME UNDER THE "CONSORCIO DE COMPENSACIÓN DE SEGUROS" COVER PURSUANT TO THE REGULATIONS ON EXTRAORDINARY RISKS GOVERNING PEOPLE AND PROPERTY SUBJECT TO ROYAL DECREE NO. 2022/1986 OF 29 AUGUST 1986 AND ITS SUBSEQUENT TEXTS AND DAMAGE COMING UNDER NATIONAL DISASTERS. *Damage or losses not excluded in this policy but will not be compensated fully or partially by the Consorcio remain covered*.

6.3.5 IN THE NETHERLANDS:

DAMAGE RESULTING FROM FLOODS FOLLOWING BURSTING AND/OR OVERFLOWING OF DYKES.

6.3.6 IN GREAT BRITAIN:

DAMAGE RESULTING FROM ACTS OF TERRORISM.

FOR THE PURPOSES OF THIS EXCLUSION, "ACT OF TERRORISM." SHALL MEAN THE FOLLOWING: THE ACT RECOGNISED AS SUCH BY THE SECRETARY OF STATE FOR TRADE AND INDUSTRY OR BY A COURT, I.E. COMMITTED BY A PERSON ACTING ON BEHALF OF OR IN CONNECTION WITH AN ORGANISATION WHOSE ACTIVITIES SEEK EITHER TO HARM OR TO INFLUENCE A GOVERNMENT DE JURE OR DE FACTO BY VIOLENCE; THE INSURED MUST PROVE THAT THE DAMAGE RESULTED FROM AN ACT OTHER THAN AN ACT OF TERRORISM.

6.3.7 IN NORTHERN IRELAND:

DAMAGES CAUSED BY OR RESULTING FROM:

- **CIVIL COMMOTION**
- **ANY MALICIOUS ACT COMMITTED BY ONE OR SEVERAL PERSONS ACTING ON BEHALF OF OR IN CONNECTION WITH AN ORGANISATION WHOSE ACTIVITIES SEEK EITHER TO HARM OR TO INFLUENCE A GOVERNMENT DE JURE OR DE FACTO BY VIOLENCE; THE INSURED MUST PROVE THAT THE DAMAGE RESULTED FROM AN ACT OTHER THAN THOSE EXCLUDED IN THIS EXCLUSION.**

6.3.8 IN NORWAY:

DAMAGE CAUSED BY NATURAL EVENTS – SUCH AS THOSE GOVERNED BY ACT NO. 70 OF 16 JUNE 1989 AND ITS SUBSEQUENT TEXTS – COVERED BY THE NORKS NATURSKADEPOOL.

6.3.9 IN DENMARK: DAMAGE RESULTING FROM FLOODING IN JUTLAND.

6.3.10 IN SWITZERLAND:

DAMAGE RESULTING FROM NATURAL EVENTS COVERED UNDER THE ELEMENTARSCHADENPOOL.

6.3.11 CLAIMS, DAMAGES, LOSSES, COSTS AND EXPENSES OF WHATSOEVER NATURE, WHICH ARE SUBJECT TO A COMPULSORY INSURANCE REGIME IMPOSED BY PORTUGUESE LAW.

7. BASIS OF INDEMNIFICATION

7.1. General

7.1.1. Definition of the claim

For all the covers under this policy except those defined under "Insured liabilities", "claim" shall mean:

All the physical damage and physical losses likely sustained by insured property or properties to trigger the insurers' cover in application of this policy and resulting from a non-excluded event or non-excluded series of events having a common cause.

- ✓ **Serial Damage:**

Subject to the provisions specified below, all the non-excluded physical damage sustained by insured property or properties, one or more insured premises, subsequent to the occurrence of a first non-excluded physical damage called the "original damage" shall constitute one single insured event.

Damage occurring with the occurrence of another cause independent from the original damage is not deemed subsequent to the original damage.

However, if the damage caused by this independent cause is made worse because of the occurrence of the original damage, said worsening will be deemed subsequent to the original damage.

- ✓ **Case of natural events:**

All the non-excluded physical damage sustained by one or more of the insured premises, at one or more insured locations within **72 hours** of the first non-excluded physical damage subsequent to the same natural event appearing is deemed a single insured event.

- ✓ **Conditions for assigning an insured event to an insurance period:**

In respect of serial damage or natural events, it is hereby agreed that the date for assigning an insured event to a single policy year making it possible to determine the extent of cover in nature and amount applicable to the insured event shall be the date on which the first non-excluded physical damage occurred.

For all the covers under this policy for "insured liabilities", "insured CLAIM event shall mean:

All covered damage caused to third parties, resulting from a damaging event and has given rise to one or more claims.

In addition, it is explicitly stated that "**damaging event**" shall mean that which constitutes the originating cause of the damage; a series of damaging events having the same technical root cause is assimilated into a single damaging event.

It is hereby agreed that the date for assigning an insured claim event to a policy year making it possible to determine the extent of cover in kind nature and amount applicable to the insured event shall be the date on which the first damaging event occurred.

7.1.2. Period of cover

For all the covers under this policy except those defined in the chapter on "Insured liabilities":

It is stipulated that the policy covers insured claims that occur during its period of validity, i.e. those occurring between its inception date and its termination or expiry date.

For the covers defined in the chapter "insured liabilities" of this policy, the following provisions shall apply, per article 80 of French law no. 2003-706 dated 1st August 2003:

1. Choice of the triggering criterion for each of the covers:

   The cover is triggered in accordance with the parties' agreement by damaging event per the provisions of article L.124-5 of the French Insurance Code.

2. Period of cover:

   Given the content of item 1) above, the provisions of subparagraph 3 of article L.124–5 of the French Insurance Code, which read as follows, must be reproduced here in application of the aforementioned law: The covers relating to the financial consequences incurred by the Insured Party covered by this policy are triggered by the damaging event and cover the Insured Party against the financial consequences of insured events, provided the damaging event occurs between the initial effective date of the cover and its termination or expiration date, regardless of when the other events constituting the insured event occurred.

7.1.3. Non Average clause

The Insurers waive the right to apply the condition of average provided by the articles L121.5, L113-9 and L172-2 et seq of the French Insurance Code, or equivalent provisions abroad are hereby overridden. .

7.1.4. Advance payments

In case of an Insured event, the Insurer will pay to the Insured, within the month following the presentation by the latter of a loss statement, the entire indemnity amount assessed jointly by their adjusters or, where the adjusters fail to come to an agreement, a non-negotiated advance payment of at least 40% of the loss statement prepared by the Insured Party. This advance payment will be based, among others, on expenditure incurred by the Insured Party.

7.1.5. Application of the Deductible

The Deductible will reduce the total indemnity amount due under this Policy and the contractual indemnity limits defined in Heading 9 will apply in addition to the Applicable deductible.

For Business Interruption and related Costs, only one deductible will apply, regardless of the number of sites involved. The same applies for interdependencies or defaults deficiencies (CBI) by customers/suppliers/services.

The provisions of the "Insurance by business unit" clause will also apply to set the deductible.

In addition, where several covers are involved, only the deductible for the generative cause will be used in calculating the indemnity amount.

Where several deductible are involved, only the highest deductible will be used.

The deductible, regardless of the amount of the Claim, will not apply where the liability for the claim, assigned to an identified Third Party, has been established, insofar as the Insured has not waived its right of action against it.

The Insurer may start any amicable or legal proceedings in order to obtain the benefit of the recourse on shared behalf by adding to it, where applicable, the deductible amount. However, the Insured retains the ability to prevent the Insurer from applying such recourse.

Lastly, if the deductibles are mentioned as percentages:

- the percentages refer to the values of the damaged location only.
- for situations not affected by direct Damage but only by Business Interruption, the calculation of the deductible as a percentage of the values will be applied taken into account only the insured Gross Margin rather than Direct Damage values.

7.1.6. Statutory auditors and accountants

All the specifics or details taken from the Insured's accounts, books or other documents concerning the operation that the Insurer may require to investigate or verify any Claim can be provided by statutory auditors or accountants, provided that at that time they are working for the Insured on a regular basis and the Insurer will rely on these.

7.1.7. Policies taken out elsewhere

If other policies exist that cover property and/or costs, losses or expenses and/or civil liabilities and or Business Interruption as per covered under this policy, it is agreed that the latter shall apply as a Difference in Conditions and/or limit in respect of the other policies.

It is explicitly stated that the losses, business interruption, liabilities and other intangible damage following an insured event that affects property that is covered by another policy, but which would have been indemnified under this policy if such had not been the case, shall be covered by this policy after any covers provided by other policy covering this property has been exhausted.

7.1.8. Declaration of loss

The Insured is only required to declare to the Insurer those Insured events which it considers likely to trigger the covers under this Policy. Similarly, the Insured is only required to declare the Insured events when their amount appears to fall within the limits of this Policy.

Consequently, the Insurer agrees not to penalise the Insured Party for any late filing of the claim.

Claims filed by the Insured Party with **SIACI SAINT HONORE** – Season, 39 rue Mstislav Rostropovitch, 75017 Paris, France - or with its representative abroad shall be deemed filed directly with the Insurer. They must be filed with SIACI SAINT HONORE or its representative within 60 days of the date when the Insured Party's Insurance Division or Insurance Department first becomes aware of the Insured event.

7.1.9. Indemnification

It is explicitly stated that the Insured, in France and abroad, benefits from all the covers granted under the Master Policy, independent of the declared sums insured used to calculate the premium.

It is stipulated that the premium basis and calculation, which are not contractual, shall not under any circumstances change the indemnity amount.

7.1.10. Additional indemnification for Natural Disasters

The Parties jointly agree that when an Insured event that affects an insured property is declared to be a "Natural Disasters" by an interministerial ruling, without contravening Articles L 125–1 *et seq* of the French Insurance Code, all the covers granted under the Policy will be payable by the Insurer as follows:

- ✓ Damages coming under the "Natural Disaster" cover (as defined in the aforementioned French Insurance Code") will be compensated as stated in appendix "NATURAL DISASTERS", since this cover was subject to an additional premium;
- ✓ All other damage, additional covers and options taken out, which are not indemnified under the "Natural Disasters" cover, but are not excluded in respect of the Master policy, shall also be payable by the Insurer (since this possibility was taken into consideration in the calculation of premiums other than those relating to natural disasters).

In addition, it is stipulated that:

- ✓ There will be no dispensation from the provisions relating to the contractual indemnification limit and to the Deductible, if any. Therefore, the cumulative amount of indemnity paid in respect of both the "NATURAL DISASTERS" appendix and these provisions shall be determined by taking into account:
    - Only the Deductible relating to "natural disasters",
    - Only the Contractual Policy Limit.
- ✓ The overall indemnity will take into account that portion of the Excess and of the Contractual indemnification Limit that does not come under the "Natural Disasters" Scheme, so that the indemnity paid to the Insured will be identical, whether or not there was a "Natural Disaster" ruling.

7.1.11. Indemnification for Claims in a currency subject to inflation

For countries subject to inflation of over 15% per annum, the Insurer shall take this inflation into account when calculating the indemnity after a claim, provided the difference is less than €150,000 per Claim and per location, and less than 20% of the amount of the Claim.

For Claims within this frame, inflation will be measured by calculating the ratio of:

- ✓ The reference currency's exchange rate to the Euro on the day of the Insured event and the exchange rate in Euros for this same reference currency on the day when indemnity is to be paid.
- ✓ The result obtained in this way will be the inflation rate and will be applied to the amount of the indemnity determined in the reference currency.

In addition, it is specified that:

- ✓ The exchange rates in Euros will be those published by the European Central Bank at the end of each month.
- ✓ The reference currency will be that of the country where the claim occurred;
- ✓ Claims outside the aforementioned automatic framework will be examined on a case-by-case basis.

7.1.12. Indemnification currency

Indemnity amounts will be paid locally in priority and per the choice of the policyholder, except where this is absolutely impossible, or in France in EUROS under this policy. However, whenever possible, indemnity amount shall be paid in the countries in which the present cover is invoked and, when that is the case, in the local currency. The exchange rate used for the conversion will be the European Central Bank exchange rate as of the date when the insured event occurred or at the date of settlement of the claim, in accordance with the Insured Party's choice.

7.1.13. Currency devaluation

This policy covers reductions in the indemnity amount payable in respect of the integrated local policies, when these reductions arise from an official measure of devaluation of the currency used in the integrated local policy, and when the payment of said indemnity arises from physical damage or loss such as those insured by the integrated policies and affecting property such as that insured under this policy.

The Insured undertakes to change the declared values within ninety days of the official devaluation in order to take said devaluation into account.

Cover is not granted under this clause in case of deliberate under-insurance by the Insured Party.

7.1.14. Non Cumulation

The total indemnity paid for a single claim both under the terms of local policies and under the terms of this policy may not exceed the indemnity amount that the Insured would have received if it had benefited from a single policy to cover the same items insured by this same Master Policy.

In the event that the Insurer mistakenly pays overall indemnity higher than the amount which would have been due under the terms of this policy, the Insurer shall have the right to obtain reimbursement of the excess portion either from the local Insured Party or from the policyholder.

7.1.15. Payment of Indemnity

The Policyholder or any other person it may appoint, is solely authorised to accept the indemnity amount allocated for a Claim.

These indemnity amounts, except for special obligations, will be paid directly to the Policyholder or any other person it may appoint, who will be responsible for distributing the amounts according to each party's interests.

The Insurer shall be deemed to have fulfilled its obligations.

7.2. Physical damage

7.2.1. Basis of indemnification of real and personal property

7.2.1.1. Indemnification at Reinstatement Value

Real and personal property (except for goods and computer hardware and peripherals) will be assessed, in case of an insured claim, on an " value As-New" basis equal to their reinstatement value (reconstruction or replacement) equal to the as-new price on the day of the claim.

The "As-New indemnification" insurance shall under no circumstance cover linen, clothes, motorised vehicles (except for special vehicles, handling machines, and others), provisions of any kind, raw materials, goods, objects whose value does not reduce with age (especially jewellery, gems, fine pearls, lacework, statues, valuable pictures and collections of rare and precious objects).

For all these items, their Reinstatement As New value is based on:

- ✓ either the list price or, in the absence thereof, the cost of purchasing a new identical item,
- ✓ or the cost of purchasing a new item which offers at least the same yield, in cases where the item is no longer manufactured

plus the cost of packaging, transport, assembly, shipping and customs charges.

- ✓ The Insured promises to maintain this property in a normal state of repair.

The Insured will not be required to rebuild the facilities or purchase equipment identical to that which was damaged, but must reinvest an amount equal to the difference between the “Value as new” and “Actual cash” value, calculated on the date of the loss event, in personal and real (in any location) intended for its use.

Therefore, the Insurer will first pay the “actual cash” value on the date of the loss. The difference for the Value As New will be paid upon presentation of proof of its reinvestment, but shall not exceed the “Value as new” for the full replacement of the damaged property.

In addition, and as an exception to the above subparagraphs, it is stipulated that property having a depreciation index below 33% will be indemnified immediately for their value as new without any document supporting the repurchase being required.

7.2.1.2. Conversion clause

In all cases the Insured, upon their request, at the time of payment of the claim and for the property items of their choice covered on A "value as-new” basis, may receive indemnity based on "actual cash value” assessed by the adjusters and increased by an additional fixed indemnity amount set by agreement at 20% of said actual cash value amount, provided that:

- ✓ The insured waive their "Value as-new" claim in respect of these property items.
- ✓ The resulting indemnity, actual cash value plus 20% additional conversion indemnity) for these property items shall not exceed the the indemnity that would have been paid on value as-new BASIS

In this case, the Insured are not required to rebuild or replace the property items for which this clause has been applied.

The utilisation of this conversion clause does not harm in any way the possible indemnity of “overhead expenses” as provided elsewhere.

7.2.2. Computer equipment and peripherals

This is the computer equipment and peripherals, data processing, input and output equipment, equipment on hire or belonging to the Insured Party.

a) In the event of a partial loss

The amount for the damage will be based on the cost of restoring the equipment to normal operating condition, including the cost of spare parts, labour, transport, disassembly, reassembly, cleaning and any customs charges.

If it is impossible to restore normal functionality to the insured equipment due to the unavailability of a spare part, the Insurer will pay the cost of equipment with at least identical performance and at least identical functions, as in the case of a total loss.

Any loss whose cost is less than the indemnity amount for a total loss shall be deemed a partial loss.

b) In the event of a total loss

During the first five years of the insured equipment's service life, the indemnity amount will be equal to the Reinstatement As New value of the equipment at the date of the loss or equal to the cost of new equipment with at least identical performance and at least identical functions, if the insured equipment is no longer available on the market.

From the sixth year of its service life, the indemnity amount will be equal to the full replacement value of the equipment on the date of the loss, or equal to the cost of new equipment with identical performance, less wear and tear, less its scrap value, plus one third of its full replacement value on the date of the loss and up to the limit of its full replacement value.

7.2.3. Fees paid to professionals

The fees of architects needed for rebuild, of design firms and of inspection and engineering firms shall be included in the indemnity amount.

7.2.4. Goods

Raw materials, packaging and provisions are estimated and indemnified according to their purchase price as assessed at their last known price before the incident, including shipping and handling.

Finished or semi-finished products or those in the process of being manufactured will be assessed according to their production cost, i.e. the price (assessed as in the paragraph above) of the materials and products used, increased by the manufacturing costs already incurred and a proportional share of the general costs required for their manufacture, excluding those related to distribution.

These assessment methods do not apply to products which appear to be waste.

7.2.5. Final Sale goods

If some goods damaged by the insured event has been subject to final sale, not insured by the purchaser and ready to be delivered at the time of the claim, but not yet delivered and if the stock recovered does not make delivery possible, indemnity shall be based on the agreed sale price, less the cost saved by not delivering the goods.

7.2.6. Goods with reservation of ownership

Goods sold with retention of title clause will be assessed at their sale price. The Insured Party will be responsible for proving the sale by any means at its disposal.

7.2.7. Non-recoverable Duties and Taxes

The covers extend to non-recoverable Duties and Taxes, i.e., reimbursement of simple consumer duties, various taxes and surcharges including VAT as set by the tax authorities that the Insured may owe the government following a non-excluded event.

This cover applies irrespective of the country concerned.

This coverage, under no circumstance, shall apply to fines and penalties that may additionally claimed by the Administration.

7.2.8. Listed and artistic buildings

These buildings or parts of buildings are covered at their like-for-like reinstatement value, provided this value has been determined by an adjuster accredited by the insurance companies.

All additional costs, surcharges and studies that a relevant authority (e.g. the Chief Architect of Historical Monuments in France) deems necessary will also be covered.

7.2.9. Brand protection – Inspection of the damaged goods

Following a claim, no damaged goods considered by the Insured to be unfit for purpose may not be sold without its consent. Such goods shall be indemnified by the Insurer as if they were completely destroyed.

The Insured shall retain all rights to the products and goods. Should there be any doubt as to their quality, it will decide solely to reject or reprocess the damaged property items.

The Insurer undertakes to respect this decision and to include the corresponding costs in the indemnity, including the costs of removal and destruction.

7.2.10. Special and earthquake-resistant foundations

The Insurer will pay indemnity for the additional cost that the earthquake-resistant or special nature (e.g. special piles) of the foundations represents when:

- ✓ The foundations concerned by the Insured event are earthquake-resistant,
- ✓ Regulations require reconstruction to comply with earthquake-resistant standards.

7.2.11. Mismatched stock

Where the insured stock is partially destroyed or damaged following an Insured event, the indemnity payable by the Insurer shall be equal to the value of the damaged goods, including the effects of this Insured event on the entire stock of goods which are mismatched or devalued because of this. The amount of the damage will be set per an adjuster's assessment.

It is hereby agreed that the indemnity amount for the entire stock of goods that are mismatched, devalued or partially affected by an Insured event shall under no circumstance exceed:

- ✓ either the cost price assessed at the stage of manufacturing at which these goods stand when the Insured event occurs,
- ✓ or the costs of rebuilding elements of the stock of goods destroyed or damaged by an Insured event which caused the entire stock of goods to become mismatched or devalued.

7.2.12. Pairs and sets

Where damage do not cause the total loss of a pair or set of property items, the Insurer shall indemnify for the necessary cost of adapting and/or replacing the property items not affected by the insured event.

7.2.13. Other undamaged unusable property

Following non-excluded physical damage, the damage, loss, depreciation or downgrading of the insured goods located on the manufacturing chains or circuits or in transit or stored are covered following a non-excluded event affecting property covered by this policy, even though said event did not directly affect these goods.

7.2.14. Taxes

The Insured Property is indemnified excluding VAT (or similar). Nevertheless, the cover is granted with VAT (or similar) included for property that is not eligible for deducting or recovering VAT or for the Insured’s property that does not benefit from recovery of VAT (or similar).

For property belonging to third-parties, as well as for liability insurance including tenant's liability insurance, the insurance applies according to the debtor's tax position or according to jurisprudence if such were to require that the Insured reimburse the aggrieved third-party including VAT, even though said third-party recovered the VAT.

In countries where insurance indemnification is subject to tax, the Insurer undertakes to indemnify the Insured Party such that the indemnity, net of tax for the Insured is equal to the actual loss.

For a Claim under which the Insured were required to pay stamp duty, the latter will be covered, even if they are not included in the basis for the premium.

7.2.15. Land owned by a third party

The buildings are or may be erected on land belonging to others. In this case; the indemnity amount payable in case of a Claim will be paid to the Insured as if said buildings had been erected on its own land, even where the damaged buildings are not rebuilt, it being stipulated that the Insured Party will be personally responsible for any claims made by the owner of the land.

7.3. Business Interruption

7.3.1. Gross Profit

7.3.1.1 Calculation of Indemnity

a) The damage is composed of the loss of gross margin, which is calculated by applying the gross profit margin to the difference between the revenue that would have been recorded during the indemnity period had the insured event not occurred, and the revenue actually recorded during this same period. Any of the Insured's normal business operations which, due to the loss event, are carried out during the indemnity period outside of the insured premises or by third parties acting on behalf of the Insured, contribute to the turnover for this period.

The annual turnover, annual gross profit and gross profit margin are calculated based on the accounts for the years prior to the date of the loss event, taking account of general **trends** in the company's business and both external and internal factors which, independently of the loss event, influenced its business and its results. The purpose of these adjustments is to determine as accurately as possible the result that the Insured would have recorded had the loss event not occurred.

b) Additional Operating Costs: all costs incurred by the Insured or on its behalf by mutual agreement of the parties to this policy, in order to avoid or limit, during the indemnity period, the decrease in its gross profit due to the reduction calculated above.

Indemnity allocated for additional operating costs:

- ✓ may under no circumstances be greater than the additional indemnity for lost turnover which would have been paid to the Insured if it had not incurred the additional costs,
- ✓ Shall be reduced proportionately to the difference between the share of the turnover achieved as a result of the additional costs during the maximum indemnity

period and the share of the turnover achieved as a result of these additional costs during this period and beyond.

All charges that the Insured no longer has to pay because of the loss event during the indemnity period will be deducted from the total loss in gross profit and additional costs.

Additional costs also means any penalties applied under an electricity supply contract with a **Peak Time Levelling** option, when the central power generator is unable, following a loss event not excluded by this policy, to supply power during the adjustable peak times chosen by EDF.

The portion of overheads expenses included in the indemnity paid under the Property Damage policy for stocks of goods, finished goods and goods in the process of manufacture will not be paid out under this coverage.

7.3.1.2 Indemnity Period

The indemnity period starts on the date of the loss event and is the time during which the Insured's results are affected by the loss event.

The maximum indemnity period under this policy is **24 months.**

This duration will not be affected by the expiry, termination or suspension of the policy if these occur after the date of the loss event.

7.3.1.3 Definitions

Annual turnover: The total amount of the sums paid by or due from clients for sales of stocks of goods, manufactured goods and services provided within the scope of the Insured's business and for which invoices were sent during a single financial year.

Financial year: The twelve consecutive months preceding the date on which the insured operation's annual accounts are drawn up.

Gross profit margin: The ratio, for a single financial year, between the ANNUAL GROSS PROFIT and the sum of the ANNUAL TURNOVER, capitalised production and stocks of finished goods.

Annual gross profit: the difference between:

the sum of the annual turnover, capitalised production corrected by stocks of finished goods

and the sum of variable operating expenses corrected by rebates and allowances obtained and changes in stocks.

Reference turnover:

The turnover recorded during same period in the twelve calendar months immediately preceding the loss event as the indemnity period.

7.3.2. Gross Earnings

7.3.2.1 Calculation of Indemnity

a) The indemnity paid out under the 'Gross Earnings' option comprises the following losses actually incurred by the Insured during the indemnity period:

- ✓ Gross margin;

✓ Less any costs and expenses which no longer have to be paid whilst the interruption to or suspension of the Insured's business or services continues;

✓ Plus any other business revenue.

The calculation of the indemnity for actual losses will take account of only normal costs and expenses which would still have been owed had production not been interrupted or the business or services not suspended.

Indemnity will only be paid out under this clause if the Insured is:

✓ Fully or partially unable to continue production and/or its business activities and/or its services

✓ Unable to rectify the loss in production within a reasonable deadline, which is not limited to the period during which production is interrupted

✓ Able to prove a loss in turnover from its production, business activities or services due to the loss event.

The Gross Earnings option does not cover losses resulting from damage sustained to finished goods manufactured by the Insured. In addition, no cover will be granted for the time needed to reproduce these finished goods.

Nevertheless, if an indemnity calculated on the sale price is payable under the Physical damage policy for losses or damages affecting stocks of goods, these will be considered as having been sold to the Insured's usual clients and the corresponding indemnity will be deducted from the net turnover.

b) Cover also applies to additional costs incurred by the Insured in order to reduce the extent of the loss, as well as those incurred to replace any finished goods used in order to limit the loss.

However, cover for all additional costs will be limited to the amount of loss that they were able to avoid.

7.3.2.2 Indemnity Period

The period during which the Insured Party suffers a business interruption begins on the day of the Insured event: and ends when both the following conditions are fulfilled:

✓ The Insured Party's production ability is again equivalent to that before the insured event,

✓ The damaged or disrupted area has returned to its production levels with the usual quality, quantity and stock – both in terms of articles and quantities – expected before the insured event.

For the purposes of applying this cover, and subject to provisions to the contrary in this policy and to extensions of cover, the period is defined as follows:

- For buildings and equipment:
  The period begins upon the occurrence of damage to or loss of insured equipment and ends when the buildings and equipment are repaired or replaced and ready for the restart of the activities, in the same operating conditions as before the insured event.

This period is not limited by the expiry date of this policy.

It is specified that the buildings and equipment are considered "ready for the restart of the activities", or repaired or replaced only after all administrative authorisations or approvals have been obtained.

- For buildings and equipment under construction:

  A period equivalent to that specified above will be applied to the level of activity that would have been realized after the construction and the starting of activities absent the physical damage.

  The Company's actual results will be taken into account after the end of construction and the start of the activity.

- For work in progress and stored goods, including finished products not manufactured by the Insured Party, the time required to

  - Reconstitute the work in progress to the manufacturing stage it was at the initial time when production was interrupted or when sales activity or provision of services was suspended.
  - Replace damaged stock of goods.

- For raw materials and supplies:

  The period when production was effectively interrupted or when the business activities or provision of services were suspended due to the inability to obtain raw materials or supplies able to replace those that were damaged, during which the damaged raw materials or supplies would have fulfilled the production or operational requirements.

This period will not be affected by the expiry, termination or suspension of the policy if these occur after the date of the loss event.

7.3.2.4 Extended liability period

Beyond “Gross Earning” option, insurers may indemnify an additional indemnity period (“extended liability period”) that would be required to restore the insured location to the conditions which would have existed if no claim occurred.

This additional period beginning at the date when the Insurer's involvement under the "Business Interruption Gross Earnings" cover would have ended if this clause had not been included in this Policy. This extension is shown in the schedule of benefit amounts.

The overall indemnity period, as defined in paragraphs 7.3.2.3 and 7.3.2.4, is not altered by this policy's expiry, termination or suspension occurring after the insured event.

7.3.2.5 Definitions

The gross margin based on "Gross Earnings" is defined as follows:

The sum of:

- the net sale price of products, for production activities
- total net sales, for commercial activities,

- any other revenue directly from the business operation

Minus the cost of:

- raw materials used for production
- equipment and supplies used directly to transform the raw materials into finished goods, or to deliver the services sold by the Insured
- sold stocks of goods, including packaging
- Non-contractual work and services that can be re-invoiced to third parties and which could not be continued as a result of the loss event.

7.3.3. Damage occurring during repair or control

When a property damaged by a non-excluded event in respect of this policy, should be, as a consequence of this damage, repaired and/or controlled and if during this repair and control, this property is damaged once again, the business interruption indemnity will take into account this additional time of repair and/or control within the limit of the period of indemnity.

8. AGREEMENTS

8.1. Other Insurance

The Insured Party is not required to report:

- ✓ Any insurance which even partly has the same purpose as this policy, except following a claim resulting in the application of same.
- ✓ Any insurance cancelled by another Insurer which partly had the same purpose as this policy.

8.2. Knowledge of Risks

The Insurer hereby declares having full knowledge of the risks it is taking responsibility for and/or considers that the declarations inserted in the policy are sufficient to comply with the provisions of article 113–2 of the French Insurance Code.

8.3. Miscellaneous Provisions

It is hereby specified that:

- ✓ Demolition, construction, reconstruction, repair, installation and/or maintenance work may be carried out on the insured locations or in the vicinity of the insured locations by any company, without this work needing to be declared to the Insurer.
- ✓ The various contracts that the Insured may have signed or will sign with third parties (energy supply, hire and rental charges for equipment or premises, stocks of goods in storage, hire work etc.) must contain an exemption of liability clause, a waiver of action clause and/or clauses stating that the Insured must act on behalf of said third parties.

The Insurer notes this point and agrees to the same obligations and waivers.

- ✓ The covered locations can have characteristics of any type (construction, roofing, vicinity, contiguity, environment, heating, type of storage, etc); they may be individual or adjoined, with or without communication between them, built on the Insured Party’s land or land owned by others, occupied by the Insured Party or by any third party, and in the vicinity of other miscellaneous location. The Insured may also be the owner, tenant, usufructuary, occupant or holder of the risks.
- ✓ The descriptions, lists and declarations given under these Special terms and conditions are sufficient to fulfil the requirements of the policy's general terms and conditions and for the Insurer to form an appropriate opinion of the risks it is to insure.
- ✓ The various types of real and personal property and liabilities are covered without any exception or reserve. The Insurer is not allowed at any time to invoke in its defence a failure to name, mention or describe any property.

8.4. Toxic substances

The covers shall apply in cases of contamination by any toxic substances, including among others those caused by askarels, asbestos, caused or triggered by a non-excluded event.

In this case the costs of cleaning, decontamination and elimination of the insured Property shall be payable by the Insurer.

The cover for clean-up costs provided in the policy will extend to the costs of destruction and neutralisation of the insured Property damaged and/or contaminated by these toxic substances on the occurrence of a covered event, as required by law and regulations, as well as to costs incurred for transferring this contaminated property, products or waste and contaminants to the processing facility (possibly designated by the Public Authorities).

9. Limit of Indemnity

9.1. Global Limit of Indemnity

The maximum indemnity amount owed to the Insured for all the losses covered under this policy is set at:

EUR 450 000 000 each and every loss

This amount applies property damage and business interruption in excess of the primary layer AXA XL n° FR00036300PR of EUR 250 000 000 each and every loss and above the Deductible amounts specified under Chapter **10.**

The Primary layer is subject to the following limits and sub-limits expressed in EUR each and every loss *(unless otherwise indicated).* These sub-limits apply above the Deductible(s) specified under Chapter **10**, and cannot exceed the Contractual limit of indemnity.

The sub-limits are included in the above main limit, as well as in the limits specified in the below events, and can under no circumstance be cumulated with it.

It is stipulated that, where a single insured event involves several events, only the highest limit will be applied.

Reminder of Limit and sub-limits

9.1.1. Limit per loss (all coverage combined unless otherwise mentioned):

- Machinery Breakdown	€ 150 000 000
- Terrorism in France (GAREAT)	Global limit of Indemnity
- Property in course of construction / Erection (in respect of maximal provisional cost of works of 10M€)	€ 10 000 000
- Damage to animals which take part in the Insured Party's activities	€ 5 000 000
- Strike, Riot and Civil commotion	€ 50 000 000 per year
- DIC/DIL/DII in respect of reinsured local policy	Global limit of indemnity
- DIC/DIL/DII in respect of no reinsured local policy	€5 000 000

9.1.2. Sub-limits in respect of specific properties (all coverage combined unless otherwise mentioned)

- Automatic coverage	€ 50 000 000 during 3 months Reduced to € 25 000 000 after 3 months
- Floating properties	€ 25 000 000
- Error and omission	€ 25 000 000
- Inland transit	€ 2 000 000

9.1.3. Sub-limits in respect of Natural events (all coverage combined unless otherwise mentioned)

- Windstorm, Hurricane, Cyclone	Global limit of indemnity
Except US	€ 10 000 000 per year
Except Critical Wind areas AXAXL	€ 50 000 000 per year
Except Japan	€ 10 000 000 per year
- Earth Movement	€ 250 000 000
Except Earth Movement (Critical and named areas AXAXL)	€ 50 000 000 per year
Except Japan	€ 10 000 000 per year
Except California	€ 10 000 000 per year
- Flood	€ 50 000 000 per year
- Natural Event out of France for which are not sub-limited above	€ 50 000 000 per year
- Hail in France	€ 50 000 000 each and every loss and € 100 000 000 per year
- Cat Nat In France	Global limit of indemnity

Nota: Fire following a Naturel Event is not subject to these sub-limits but will be covered up to Global Limit of Indemnity.

International Programme or related policies: these limits constitute the maximum limits of the Insurer's involvement where several insurance policies issued as part of this Global Plan apply.

9.1.4. Sub-limits in respect of costs and expenses

- Costs and expenses	€ 50 000 000
Including costs and expenses due to the presence of asbestos (in particular costs of decontamination, transport of waster, Reprocessing, compliance with regulations)	€ 7 500 000
- Flat indirect loss	10%

9.1.5. Sub-limits in respect of Insured liabilities

- Tenant liabilities (in France and Napoleon code countries)	Global limit of indemnity

- Third party and neighbours recourse € 30 000 000

9.1.6. Sub limits in respect of Business Interruption extension

- Direct Suppliers and direct subcontractors contingent Business Interruption	€ 25 000 000
- Direct Clients contingent Business Interruption	€ 25 000 000
- Service interruption	€ 25 000 000
Increased in respect of Infraserv in Frankfurt	€ 50 000 000
- Denial of access (Max 1 500 meters)	€ 10,000,000 max 60 days gross margin
- Additional extra expenses	€ 15 000 000
- Contractual penalties	€ 5 000 000
- Indemnity period (Gross profit)	24 months
- Extension of Indemnity period (Gross Earning)	6 months
- Administrative constraints	€ 25 000 000 max 60 days gross margins

10. Deductibles

10.1. Property Damage Deductible (each and every loss)

- Property General Deductible: 20% of the loss mini € 500,000 maxi € 1,500,000

Except

- Offices	€ 10,000
- Warehouse with no more than € 2,000,000 of insured values	€ 150,000

10.2. Business Interruption Deductible (each and every loss)

30 days of the loss with a minimum of € 500,000 and a maximum of € 4,000,000.

The deductible of 30 days applies to the loss resulting from the claim and in proportion to the period during which the Insured's results are affected by the claim, i.e. :

$$\frac{\text{Number of deductible days x Compensable loss}}{\text{Period affected by the loss (in days)}}$$

10.3. Natural Event Deductible Amounts

- In cases of insured event or event or a series of events likely to require the application of several deductible, it is hereby agreed that only the highest deductible shall apply, it being specified however that the "Direct damage" and "Business Interruption" deductible shall apply separately.
- If the occurrence of a single event results in damage to several insured places of business, a single "Direct damage" deductible and a single "Business Interruption" deductible shall be applied to the total amount of the loss.
- When an insured event or covered event affects several sites, it is hereby agreed that a single deductible will be applied for all the sites, with the highest deductible selected for "direct damage" and "Business Interruption".
- In regard to the deductible applicable to damage resulting from covered natural events, it is hereby agreed that the damages and losses occurring within 72 hours of the time when the insured property suffered the first damage shall be deemed a single insured event.

11. PREMIUM

11.1. Basis of premium

The net premium is calculated using an agreed basis, which, effective on is the following:

- PD: EUR 4 191 783 627
- BI (12 mois): EUR 418 000 000
- Total: EUR 4 609 783 627

11.2. Administration

11.2.1. Premium adjustments

Increases or reductions in value during the year will be taken into account effective from the next renewal date, with no adjustment for the current financial year, except for increases or reductions in value, sale, assignment, acquisition, creation, purchase of companies or new places of business with a unit amount greater than 50,000,000 EUR, which will require a prorated premium adjustment (collection or refund) at the end of the financial year.

It should be noted that an adjustment will have to be made in respect of the integrated local policies where there can be no exception to local provisions or obligations.

11.2.2. Exchange rate

OANDA SOURCE

11.3. Net worldwide annual premium

On this basis, the net worldwide annual premium as of January 1st 2023 is set at **EUR 1 167 072,** excluding Natural disasters, excluding GAREAT, excluding other local additional premiums and excluding tax, including brokerage.

11.4. Net annual premium France & LPS

On this basis, the net France LPS annual premium, is set at:

1 304 801 EUR

Including:

- Nat Cat: 52 636 EUR
- GAREAT: 85 094 EUR

Tax in addition

12. CO-INSURANCE

The co-insurance is allocated as follows:

Insurers	Policy number	Share	Signature + stamp
ALLIANZ GLOBAL CORPORATE & SPECIALTY SE	FRP001708242M	35%	Allianz Allianz Global Corporate & Specialty SE Succursale en France 1 Cours Michelet Signed by: Vissutti Laetitia EMail: laetitia.vissutti@allianz.com Signing time: 07-03-2024 10:41:35 IP address: 165.225.20.86
MSIG INSURANCE EUROPE AG	F100221377	15%	MSIG Insurance Europe AG 65, rue de la Victoire - 75009 Paris Tél : 01 40 67 42 42 – Fax : 01 40 67 12 34 RCS Paris 753143882 00037 - APE 6512Z
GROUPAMA COURTAGE 43065150 B 0001	43065150 B 001	15%	Groupama Courtage 8-10 rue d'Astorg 75008 Paris RCS 343 115 135
HDI GLOBAL SE	76463909-30038	12,5%	HDI Global SE Tour Trinity 1 bis Place de la Défense CS 20209 92095 Paris La Défense Cedex Tél +33 1 44 05 56 00 – Fax +33 1 44 05 56 66 18.01.2024
LIBERTY MUTUAL	1000495454-01	10%	Liberty Specialty Markets
BERKSHIRE HATHAWAY SPECIALTY INSURANCE	48-EPR-007320-01	7,5%	Berkshire Hathaway Specialty Insurance
HELVETIA SWISS INSURANCE COMPANY IN LIECHTENSTEIN LTD	21-7485	5%	Qualified electronic signature - EU law
TOTAL		**100%**	

The Lead Insurer is the company mandates by the other Insurers to represent them, within the limits provided herein. Since all the Insurance companies having accepted a share of the policy, the insurers shall act without any joint and several liabilities and their liability shall be in proportion to the share written in the policy.

The parties jointly agreed that for all operations arising from this policy, (policy wording, claims administration, declarations, claims, sending of documents, premium payments) the Insured only communicate with the Lead Insurer.

For their purposes, the co-insurers, within the limit of their commitments, delegate to the Lead Insurer the widest powers to receive all declarations, to take note of same, to receive the premiums and issue receipts therefor, to settle or find a compromise for all claims, to start, support, manage and /or defend legal proceedings, to receive any official advice and communications without the Lead Insurer being liable in respect of the co-insurers under this clause.

13. DEFINITIONS

For the purposes of the terms and conditions of cover and deductible specified in this insert, the following terms are defined as follows:

13.1. Lead Insurer

A company mandates by the other Insurers to represent them within the limits specified by this Master Policy in accordance with the co-insurance code of conduct.

13.2. Agreed basis of premium

All the figures used as an agreed basis for calculating the premium defined in **Chapter 11**. The premium basis and calculation are not contractual and shall not under any circumstances have any effect on the indemnity amount.

13.3. Insurer

All the insurance companies that have accepted a share of the Master policy. The insurers operate with no solidarity between them and their commitment is proportional to the share of the Master Policy taken out, repeated under the Co-Insurance Heading.

13.4. Machinery Breakdown

Accidental breakage of insured equipment due to the main causes below:

Internal causes: inherent to the insured property itself or to its operations: defect in design, faulty construction or assembly, defective materials, seizing, maladjustments, molecular fatigue, centrifugal force, over-speeding, friction heating, vibration, loosening of parts, failure of regulation, control or safety devices, variation of crystalline structure, ramming, fall;…

External causes: introduction, fall of or hit by foreign bodies;…

Human causes: clumsiness, negligence, incorrect handling, inexperienced Insured or Third-Party staff;…

Under no circumstance Fire, explosion, electrical damage, electricity and other non-excluded events or the consequences thereof can be deemed as "MACHINERY BREAKDOWN".

13.5. Contamination – Pollution

The direct degradation of the Insured property not following an event insured under the policy, pursuant to the emission, dispersion, rejection or depositing of any solid, liquid or gas substance spread by the atmosphere, soil or water, as well as the production of odours, waves, radiation and rays.

13.6. Policy

This insurance **Policy** including notifications and endorsements, also known as Policy or Master Policy in the body of the insert.

13.7. Misappropriation/Fraud

Use of a false name or position, or abuse of a real position, or use of fraudulent means to defraud a natural or legal person, and to thereby cause it, to its detriment, to hand over funds, securities or any property item, to provide a service or agree to any action that creates an obligation or discharge.

Misappropriation by one or more persons, to the detriment of the Insured Party, of funds, securities or any property item handed over to them and that they have agreed to return, present or make specific use of.

Fraudulently accessing or remaining within all or part of an automated data processing system, or fraudulently introducing or modifying data in an automated data processing system, or fraudulently hindering, altering or falsifying the operation of an automated data processing system, with the aim of gaining from such acts.

Any intentional alteration of the truth intended to cause a loss, and carried out by any means whatsoever, in any written or other media for expressing thoughts, with the purpose, or possible purpose of establishing proof of a right or of a fact with legal consequences, committed with the intention of profiting from this or of harming the Insured Party.

13.8. Difference in Conditions (DIC)

Covering, where no cover exists or where it has been refused, within local policies, events or covers provided by this reference text, which constitutes the limits of the Insurer's involvement, excluding the Natural Disasters cover in France, per French law no. 82.600 of 13 July 1982 and subsequent texts.

13.9. Difference of Interpretation (DI)

Triggering the use of the provisions of this policy where definitions and covers provided by local policies are more restrictive or limiting than the definitions of events or covers provided by the Master policy, regardless of whether the local policies are reinsured by the Insurers of the Master policy.

13.10. Difference in Limits (DIL.)

Application, after the compensation paid under the local policies, plus the deductible used in case of inadequate capital or covered amount, for any reason whatsoever, has been exhausted, except in cases of deliberate misrepresentation by the Insured Party, or its subsidiary or representation abroad. The Insurer is responsible for proving this intent to under-insure.

13.11. Physical Damage

All physical damage, losses, alterations, destructions or disappearances affecting the Insured property following a non-excluded event.

The fact that property items, even intact, cannot be sold or used following a non-excluded event, due to the Insured Party's quality control failing to approve this shall be deemed Physical Damage.

13.12. Insured location

The geographical perimeter within which the Insured Property is located, such that each of these property items is not located further than 300 metres from its nearest neighbouring property item. The named loations are those mentioned in the descriptive statements sent to the Lead insurer, as well as those declared during the financial year.

13.13. Natural events

The following events are deemed natural events:

- Avalanches, Rockfalls, Mudslides
- Windstorm/Hurricane/Cyclone :

  Direct action of the following events
  - Cyclone, Hurricane, Storm, Tornado, etc, and other similar atmospheric manifestations whose occurrence in a specific place results in the deterioration of property because of the strength of the wind :
  - Consecutive wet damage
  - Consecutive damage du to sand
- Earth Movement: Volcano Eruption, Seismic Shock, Earthquake, Landslide, Subsidence, etc, and other similar events whose occurrence in a specific place results in the deterioration of the property because of a geological phenomenon.
- Flood: Flooding, Tidal wave, Strong waves, Tsunami, etc, and other phenomena involving invasion by water and resulting in the deterioration of property by submersion and/or shearing or any physical impact.
- Hail (including the direct or indirect impact of the hailstones on the insured property items, damage to overloaded structures that their weight may cause, or the obstruction of drainage that they may cause).

13.14. Deductible

The amount that the Insured remains responsible for, which amount is deducted from any indemnifiable loss.

13.15. Global Limit of indemnity

The Insurers' maximum commitment for all coverage granted under this policy ie physical damage, and consecutive expenses, business interruption and liabilities.

13.16. The Parties

The Insured and the Insurers

13.17. FOS (Freedom of services) FMS (Free Movement of Services)

The European Union (EU) and European Free Trade Association (EFTA) except Switzerland countries where the Insured Party has locations directly insured under the Master Policy.

13.18. Integrated Countries

Countries in which the Insured Party has locations or property insured under a local Policy issued or being issued as part of this Global Insurance programme, by a subsidiary or partner of the Lead insurer. Countries partially reinsured because of a mandatory or facultative local retention are deemed included.

13.19. Non-Integrated Countries

Countries in which the Insured has insured locations or property that is not insured under a Local Policy issued as part of this Global programme.

For the purposes of this Policy and for the application of the **DIC/DIL/DI** cover amounts specified under the Heading "Limit and Deductible Amounts", there are three categories on non-included countries:

- Countries where there is a Local Policy that cannot be reinsured as part of this programme because of the legal provisions in force in said countries;
- Countries where a Local Policy exists, for which the Insured Party has not requested reinsurance under this programme;
- Countries not specified in the Policy where the Insured has property, regardless of whether they are insured under a Local Policy.

13.20. Local Policy

A Policy issued in the risk's country and fully or party reinsured by this Policy's Insurers and/or benefitting from the DIC/DIL/DI cover.

13.21. Master Policy

This Insurance Policy, including all endorsement and/or acknowledgement letters issued in application thereof.

13.22. Global programme

This Insurance Policy and the Local policies issued in relation with it, by the same Insurers or their representatives, in countries where the locations of the Insured Party that has joined said Global Programme are located.

13.23. Third Party, Third Parties

Anyone other than the Insured Party. Various Insured Parties are Third Parties in respect to one another.

13.24. Theft

Fraudulent removal or attempted fraudulent removal of an insured property item.